

THE ARTIFICIAL INTELLIGENCE CODE

For the Republic of India

Containing the Proposed Draft

Artificial Intelligence

(Regulation of Use and Prevention of Misuse)

Act, 2026

**With an Executive Summary on the Constitutional and Legislative
Framework for Artificial Intelligence Regulation**

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In loving memory of my father

MR. PRAVEEN KUMAR GUPTA

Advocate

who founded the Chamber in 1991,

“The Law was his Life’s Work”

This book is my humble attempt to carry his work forward

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PRELIMINARY NOTE

This publication contains an independent legislative proposal titled the **Draft Artificial Intelligence (Regulation of Use and Prevention of Misuse) Act, 2026**. It has been prepared with the objective of contributing to the development of a comprehensive statutory framework governing Artificial Intelligence in India.

The Draft Code does not represent the views of the Government of India, any Ministry or Department, the Legislature, the Judiciary, or any constitutional or statutory authority. It is neither an official publication nor a legislative instrument, but an independent proposal intended to facilitate informed discussion on the constitutional, legal and regulatory challenges presented by Artificial Intelligence.

The provisions contained in the Draft Code are intended to demonstrate one possible legislative framework through which Artificial Intelligence may be regulated in a manner consistent with constitutional principles, the Rule of Law and responsible technological innovation. The publication is respectfully offered for academic consideration, professional examination and constructive consultation, with the expectation that continued dialogue and institutional engagement will contribute to its further refinement.

FOREWORD

Constitutions are rarely challenged by technology itself. They are challenged by the redistribution of power that technology makes possible.

Every transformative invention in history has altered the balance between the individual and the State, between private enterprise and public interest, between liberty and regulation. The printing press transformed political expression. Industrialisation reshaped labour and commerce. The internet dissolved geographical boundaries and compelled the law to recognise a digital society. Artificial Intelligence presents a challenge of a different constitutional character. It does not merely expand human capability; it possesses the capacity to influence how decisions are conceived, how information is created, how evidence is manufactured, how institutions function and, ultimately, how public and private power may be exercised.

The constitutional question before India is therefore neither whether Artificial Intelligence is beneficial nor whether it should be encouraged. Innovation is both inevitable and desirable. The question is whether the legal system can ensure that, as machine intelligence becomes increasingly capable of influencing decisions affecting rights, liberties and democratic institutions, constitutional accountability continues to remain exclusively human.

The Indian Constitution was drafted upon a simple but enduring assumption: every exercise of legal power can ultimately be traced to an identifiable human decision-maker who may be called upon to justify that exercise of power before the law. Artificial Intelligence introduces an unprecedented complication. Decisions of increasing legal consequence may now emerge through systems that learn, adapt, generate content and influence human conduct without traditional chains of reasoning being readily visible. Unless the law responds with clarity, accountability may gradually become diffused without ever formally disappearing.

India possesses a strong constitutional framework and an increasingly sophisticated body of digital legislation. The Information Technology Act, 2000, the Digital Personal Data Protection Act, 2023 and the recently enacted Bharatiya criminal law framework each address important dimensions of technological governance. Yet none of these enactments was designed to regulate Artificial Intelligence as a distinct legal subject. They regulate electronic communication, personal data, criminal conduct and evidentiary processes; they do not establish a comprehensive legal architecture governing the development, deployment, accountability and misuse of Artificial Intelligence systems.

It is this legislative space that the present Model Code seeks to occupy.

The philosophy underlying this work is deliberately restrained. It neither views Artificial Intelligence with apprehension nor treats it with unqualified optimism. The object of law is not to impede technological progress, but to ensure that progress remains compatible with constitutional governance. Innovation cannot be permitted to outpace accountability, nor should regulation become so burdensome that it suppresses legitimate scientific and commercial advancement. A durable legal framework must preserve both.

Accordingly, this Code proceeds upon five foundational principles: that legal responsibility must always remain attributable to natural or juristic persons; that regulation should correspond to demonstrable risk rather than technological novelty; that constitutional rights must remain the governing standard for every significant deployment of Artificial Intelligence; that legal certainty is indispensable both for innovation and for public confidence; and that legislation should be drafted in terms sufficiently durable to survive technological evolution.

This publication does not claim legislative authority, nor does it suggest that every provision represents the only possible solution. No legislation of enduring value has ever emerged fully formed. It is refined through scrutiny, disagreement and institutional deliberation. This work is

therefore respectfully offered as an independent legislative proposal intended to invite examination, criticism and improvement.

There are moments in the constitutional history of every nation when the law is required not merely to respond to change, but to anticipate it. Artificial Intelligence presents one such moment. The choices made today will determine whether technology develops within the discipline of constitutional government, or whether constitutional government is compelled to adapt itself to technology after the fact.

This Model Code is offered in the belief that the former course better serves the Republic, its institutions and its citizens.

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EXECUTIVE OVERVIEW

The history of law is, in many respects, the history of society's response to transformative shifts in human capability. Every significant technological revolution has ultimately compelled the law to redefine rights, obligations and institutional responsibility. The emergence of the factory gave rise to labour legislation; the motor vehicle transformed the law of negligence and compulsory insurance; the internet required legislatures to recognise electronic records, digital commerce and cybercrime. In each instance, the law evolved not because technology demanded recognition, but because the exercise of power through technology demanded legal accountability.

Artificial Intelligence presents the next such moment in India's constitutional and legislative history.

Unlike earlier technological developments, Artificial Intelligence is not confined to a single industry, profession or branch of law. It has become the first general-purpose technology capable of simultaneously influencing constitutional rights, criminal justice, civil liability, commercial transactions, public administration, electoral integrity, evidentiary processes and the administration of justice. It does not merely perform predefined computational functions. It increasingly generates content, influences decisions, predicts human behaviour and assists—or, in certain circumstances, effectively determines—outcomes that may directly affect legal rights and obligations.

The legal significance of Artificial Intelligence therefore lies not in its intelligence, but in its consequences.

Artificial Intelligence becomes a subject of law because it possesses the capacity to affect equality, liberty, privacy, dignity, reputation, property, access to justice and democratic institutions. Whenever a technological system acquires the practical ability to influence constitutional rights or legal consequences, it necessarily enters the domain of legislation. The central question before Parliament is therefore

no longer whether Artificial Intelligence should be regulated, but how constitutional governance should regulate it without discouraging innovation or scientific progress.

India possesses a mature constitutional order and an increasingly sophisticated body of digital legislation. The Information Technology Act, 2000, the Digital Personal Data Protection Act, 2023, the Bharatiya Nyaya Sanhita, 2023, the Bharatiya Nagarik Suraksha Sanhita, 2023 and the Bharatiya Sakshya Adhiniyam, 2023 collectively regulate electronic communications, personal data, criminal conduct and evidentiary processes. These enactments continue to perform their intended legislative functions. However, none was enacted with the objective of regulating Artificial Intelligence as an independent subject of law. Consequently, questions concerning algorithmic accountability, synthetic media, autonomous decision-making, AI-enabled criminality, evidentiary reliability, regulatory oversight and civil liability presently remain dispersed across multiple legal regimes, often without a coherent statutory framework capable of addressing them comprehensively.

The absence of such a framework creates uncertainty at every level of governance. Citizens lack clearly defined legal protections against emerging forms of AI-enabled harm. Developers and businesses operate without predictable statutory standards governing compliance and liability. Regulatory authorities exercise overlapping or incomplete jurisdiction. Courts are increasingly required to resolve questions for which existing legislation offers only indirect guidance. As Artificial Intelligence becomes progressively integrated into governance, commerce and public life, the costs of legislative fragmentation will inevitably increase.

It is this constitutional and legislative gap that the present Model Code seeks to address.

The Code has not been conceived as an instrument for regulating technology in the abstract. Its purpose is to regulate the legal consequences arising from the development, deployment and use of Artificial Intelligence. It proceeds upon a constitutional premise that is both simple

and fundamental: every exercise of legally significant power must ultimately remain attributable to an identifiable human or juristic person answerable before the law. Artificial Intelligence may assist, inform or augment human judgment, but it cannot become an independent repository of legal responsibility.

Accordingly, the proposed legislation is structured around four integrated legislative objectives.

First, it establishes a risk-tiered regulatory framework under which regulatory obligations correspond to demonstrable risk rather than technological novelty. By distinguishing prohibited practices, high-risk systems, limited-risk systems and minimal-risk systems, the Code seeks to ensure that regulation remains proportionate, constitutionally sustainable and technologically neutral.

Secondly, it creates a comprehensive statutory framework governing accountability. Duties relating to transparency, human oversight, data governance, incident reporting, algorithmic explanation and regulatory compliance are transformed from ethical aspirations into enforceable legal obligations capable of judicial enforcement.

Thirdly, the Code introduces a unified framework governing criminal offences, civil liability and regulatory enforcement arising from Artificial Intelligence. It addresses contemporary forms of harm—including deepfakes, AI-enabled impersonation, algorithmic discrimination, synthetic sexual imagery, fabricated judicial material, election-related manipulation and autonomous decision-making—while remaining harmonised with the existing framework of Indian criminal, civil and regulatory law.

Fourthly, it establishes the institutional architecture necessary for effective implementation through the creation of a specialised regulatory authority, adjudicatory mechanisms, appellate remedies and evidentiary standards specifically adapted to Artificial Intelligence-generated and Artificial Intelligence-processed material.

Throughout the Code, constitutional values remain the organising principle. Innovation is neither treated as an adversary of regulation nor regarded as an end in itself. A constitutional democracy cannot permit technological capability to displace legal accountability; equally, legal regulation should not become an impediment to responsible scientific advancement. The objective of the proposed legislation is therefore to preserve an equilibrium between constitutional liberty, technological innovation and institutional accountability.

The drafting philosophy consciously adopts established principles of Indian legislative practice. Rather than introducing an entirely new regulatory vocabulary, the Code draws upon familiar legislative structures, established doctrines of liability and recognised principles of statutory interpretation. It seeks to complement the existing legal framework, not to replace it, thereby enabling Artificial Intelligence regulation to develop organically within India's constitutional and statutory tradition.

This publication is respectfully presented as an independent legislative proposal intended to contribute to the continuing evolution of Indian law. It does not presume legislative authority, nor does it suggest that every provision represents the only permissible policy choice. Enduring legislation is rarely the product of certainty; it is the product of sustained constitutional dialogue, institutional scrutiny and legislative refinement. It is in that spirit that this Model Code is offered.

The Republic has repeatedly demonstrated its capacity to adapt its legal institutions to profound social and technological change. Artificial Intelligence presents the next such constitutional moment. Whether the law shapes that transformation, or merely responds to it after rights have been compromised and institutions have been tested, will depend upon the legislative choices made today. This Model Code proceeds upon the belief that constitutional democracies are strongest when they legislate in anticipation of structural change rather than in response to constitutional failure.

EXECUTIVE SUMMARY

Chapter 1 — The Legislative Imperative

Legislation is rarely enacted because technology advances. It is enacted because existing legal principles become insufficient to govern the consequences of that advancement. The history of modern law demonstrates that legislatures do not regulate inventions merely because they are novel or sophisticated. They regulate them because they alter the manner in which rights are exercised, obligations are discharged, liabilities arise and public power is organised. The emergence of the factory demanded labour legislation; the proliferation of motor vehicles transformed the law of negligence, compulsory insurance and public safety; the internet required legislatures to recognise electronic records, digital commerce and cybercrime. In each instance, law evolved not to acknowledge technological progress, but to preserve legal order in the face of social and institutional transformation.

Artificial Intelligence presents the next such legislative moment.

Unlike earlier technological developments, Artificial Intelligence is not confined to a particular industry or economic sector. It is a foundational technology capable of being integrated into virtually every sphere of organised human activity. It increasingly participates in medical diagnosis, financial decision-making, education, employment, public administration, law enforcement, judicial assistance, commercial transactions, critical infrastructure and democratic communication. Its deployment is no longer exceptional; it is becoming routine. As a consequence, its legal implications are no longer confined to questions of technology policy. They extend to every institution through which constitutional rights are exercised and legal obligations are enforced.

The legislative significance of Artificial Intelligence therefore lies not in its intelligence, but in its legal consequences.

Artificial Intelligence has acquired the practical capacity to influence decisions affecting equality, liberty, dignity, privacy, reputation, property, procedural fairness and access to justice. It may determine whether an individual receives employment, credit, insurance, medical treatment or public benefits. It may generate evidence capable of influencing judicial proceedings, create synthetic media capable of altering electoral discourse, or assist public authorities in the exercise of statutory functions. Whenever technological systems acquire the capacity to produce consequences affecting constitutional rights and legally protected interests, they necessarily become subjects of legislative concern.

The constitutional challenge presented by Artificial Intelligence is unprecedented in both its scale and character. Earlier technologies generally affected identifiable sectors of law. Artificial Intelligence cuts across constitutional law, criminal law, civil liability, commercial regulation, consumer protection, administrative law, evidentiary rules and public governance simultaneously. It is perhaps the first general-purpose technology whose legal consequences cannot be confined within the boundaries of any single legislative enactment or regulatory institution. Consequently, legislative responses confined to isolated amendments or sector-specific regulations are unlikely to produce a coherent legal framework capable of addressing its broader constitutional implications.

The Constitution of India proceeds upon a foundational assumption that every exercise of legally significant power remains attributable to an identifiable natural or juristic person answerable before the law. Constitutional review, administrative accountability, criminal responsibility, civil liability and judicial scrutiny all presuppose the existence of an actor capable of bearing legal responsibility. Artificial Intelligence introduces a fundamentally different legal environment. Decisions of substantial legal consequence may increasingly be generated, recommended or materially influenced by computational systems whose internal processes are often opaque, adaptive and incapable of

conventional human explanation. If responsibility for such decisions is permitted to become diffused across complex technological systems without corresponding statutory standards governing accountability, the law risks preserving the appearance of responsibility while losing its practical enforceability.

This concern is neither speculative nor confined to future technological developments. Across jurisdictions, Artificial Intelligence has already been implicated in discriminatory recruitment practices, biased credit assessment, predictive policing, automated welfare administration, algorithmic content moderation, medical decision-support systems, autonomous financial trading, synthetic media, deepfakes and large-scale misinformation campaigns. Courts increasingly encounter electronically generated evidence whose authenticity cannot be evaluated solely through traditional evidentiary principles. Public authorities are considering the deployment of algorithmic systems in areas directly affecting individual rights. Private entities routinely rely upon Artificial Intelligence to make or materially influence decisions affecting millions of individuals. These developments demonstrate that the constitutional questions surrounding Artificial Intelligence are no longer theoretical. They are present questions requiring present legislative attention.

India has responded to the digital age through significant legislative reforms. The Information Technology Act, 2000 established the legal recognition of electronic records and addressed cyber offences. The Digital Personal Data Protection Act, 2023 introduced a comprehensive framework governing personal data. The Bharatiya Nyaya Sanhita, 2023, the Bharatiya Nagarik Suraksha Sanhita, 2023 and the Bharatiya Sakshya Adhinyam, 2023 collectively modernised the country's criminal justice framework. Each of these enactments represents an important legislative response to distinct legal challenges. None, however, was enacted with the object of regulating Artificial Intelligence as an independent subject of law.

The consequence is a legislative landscape in which questions concerning developer liability, deployer obligations, algorithmic

transparency, human oversight, synthetic media, deepfakes, evidentiary reliability, autonomous decision-making, regulatory supervision and specialised enforcement remain distributed across multiple statutory frameworks that neither individually nor collectively provide comprehensive legal certainty. Citizens encounter emerging forms of technological harm without clearly identifiable statutory remedies. Businesses innovate without predictable standards governing compliance. Regulators operate within fragmented jurisdictions. Courts are increasingly required to resolve disputes for which existing legislation provides only indirect guidance. The cumulative effect is uncertainty—an outcome that serves neither constitutional governance nor technological innovation.

The present Draft Artificial Intelligence (Regulation of Use and Prevention of Misuse) Act, 2026 has been prepared in response to this legislative deficiency. It proceeds upon the premise that Artificial Intelligence should not be regulated because it is technologically sophisticated, but because it has acquired the capacity to influence legal rights, public institutions and constitutional governance. The proposed legislation therefore seeks to establish a coherent statutory framework governing the legal consequences arising from the development, deployment and use of Artificial Intelligence while preserving constitutional freedoms, encouraging responsible innovation and ensuring that accountability remains inseparably linked to identifiable human and juristic persons.

The question before Parliament is therefore not whether Artificial Intelligence deserves legislative attention. That question has already been answered by the pace of technological integration into every sphere of public and private life. The question is whether the Republic should develop a coherent constitutional framework before Artificial Intelligence becomes inseparably embedded within its legal institutions, or whether the law should continue responding through fragmented statutory amendments after constitutional disputes have already arisen. The present Draft Code proceeds upon the conviction that constitutional democracies best preserve liberty not by legislating after institutional disruption, but by anticipating it through principled, comprehensive and democratically enacted law.

Chapter 2 — The Constitutional Challenge

The emergence of Artificial Intelligence is frequently described as a technological revolution. While descriptively accurate, that characterisation is legally incomplete. Technologies do not ordinarily become constitutional concerns merely because they are sophisticated or commercially significant. They become constitutional concerns when they alter the manner in which public power is exercised, legal rights are affected or institutional accountability is maintained.

Artificial Intelligence has reached that threshold.

Its constitutional significance lies neither in computational capability nor in its capacity to imitate aspects of human reasoning. The defining legal characteristic of Artificial Intelligence is that it increasingly participates in decisions capable of producing legal consequences. Whether such participation occurs through recommendation, prediction, automation, content generation or autonomous operation is, for constitutional purposes, a distinction of degree rather than principle. What assumes legal importance is that decisions which were historically conceived, exercised and justified by identifiable human actors are increasingly being influenced by computational systems operating upon complex data, adaptive learning processes and probabilistic outputs.

This development introduces a constitutional question fundamentally different from those presented by earlier technological innovations. The Constitution of India was framed upon the assumption that every exercise of legally significant authority can ultimately be traced to an accountable human decision-maker or a juristic entity acting through human agency. Administrative discretion, judicial review, criminal culpability, civil liability and procedural fairness all presuppose the existence of an identifiable person capable of explaining, defending and, where necessary, bearing legal responsibility for the exercise of power.

Artificial Intelligence does not disturb this constitutional assumption by acquiring legal personality. It disturbs it by making the attribution of responsibility increasingly complex.

Where an algorithm materially influences recruitment, credit allocation, medical diagnosis, policing, taxation, judicial administration or governmental decision-making, identifying the legally responsible actor becomes substantially more difficult than under conventional legal relationships. Responsibility may appear distributed among developers, deployers, data providers, cloud infrastructure operators, public authorities and end users, each exercising differing degrees of influence over the eventual outcome. Without legislative intervention defining rights, duties and standards of accountability, this diffusion of responsibility risks producing what may appropriately be described as **constitutional opacity**—a condition in which decisions affecting constitutional rights continue to occur, yet responsibility for those decisions becomes progressively less identifiable.

Constitutional governance cannot function indefinitely within such an environment.

The Rule of Law demands more than lawful outcomes. It demands that legally significant decisions remain capable of attribution, explanation and judicial scrutiny. The constitutional guarantee of equality requires that similarly situated persons are not subjected to arbitrary or unjustifiable distinctions. The guarantee of life and personal liberty presupposes that decisions affecting individual rights remain subject to fairness, proportionality and procedural safeguards. Freedom of speech and expression requires legal standards governing synthetic content capable of influencing democratic discourse. Access to justice requires evidentiary principles capable of distinguishing authentic material from technologically fabricated evidence. These constitutional guarantees cannot remain effective if the legal system lacks a coherent framework governing the technological processes through which increasingly significant decisions are produced.

Artificial Intelligence therefore presents a constitutional challenge not because it replaces human judgment in every instance, but because it increasingly participates in the exercise of legally significant judgment without a corresponding statutory framework governing responsibility for that participation.

This distinction explains why the present Draft Code has not been framed as a technology statute. It is, in substance, a constitutional accountability statute operating within the domain of Artificial Intelligence. The objective of the proposed legislation is not to regulate software architecture, computational models or scientific research. It is to preserve the constitutional principle that wherever technology participates in decisions affecting rights, obligations or public institutions, accountability must remain identifiable, reviewable and enforceable under law.

The constitutional challenge presented by Artificial Intelligence should therefore not be understood as a conflict between innovation and regulation. Constitutional democracies have never required such a choice. The true challenge lies in ensuring that technological progress continues within a legal order where responsibility remains attributable, rights remain enforceable, institutions remain transparent and constitutional authority continues to be exercised by human beings answerable before the law. The Draft Code proceeds upon the belief that these constitutional objectives are not obstacles to innovation; they are the conditions upon which responsible innovation ultimately depends.

Chapter 3 — The Legislative Deficit

The existence of legislative regulation in the digital sphere should not be mistaken for the existence of a comprehensive legal framework governing Artificial Intelligence. India has, over the past two decades, enacted significant legislation addressing electronic governance, cyber offences, digital evidence, personal data protection and the modernisation of its criminal justice system. Collectively, these enactments constitute a robust digital legal framework. However, they were enacted to regulate distinct legal subjects, each responding to a specific legislative objective. None was conceived as a comprehensive code governing Artificial Intelligence as an independent subject of law.

The Information Technology Act, 2000 was enacted to facilitate electronic commerce, recognise electronic records and signatures, establish the legal validity of digital transactions and criminalise specified forms of cyber misconduct. Its legislative focus was the legal recognition of electronic communication and the regulation of offences committed through computer resources. It was never intended to establish principles governing algorithmic accountability, autonomous decision-making, synthetic media, developer obligations or the deployment of Artificial Intelligence systems in sectors affecting constitutional rights.

The Digital Personal Data Protection Act, 2023 represents a significant legislative development in recognising the rights of individuals over their personal data and imposing obligations upon entities processing such data. However, data protection legislation addresses only one component of the Artificial Intelligence ecosystem. Artificial Intelligence systems may produce legally significant consequences even where personal data is not processed, or where the legal concern arises not from data collection but from automated decision-making, opaque reasoning, synthetic content, model behaviour or deployment in high-risk environments. Consequently, while data protection remains indispensable, it cannot by itself constitute a comprehensive regulatory framework for Artificial Intelligence.

Similarly, the Bharatiya Nyaya Sanhita, 2023, the Bharatiya Nagarik Suraksha Sanhita, 2023 and the Bharatiya Sakshya Adhiniyam, 2023 modernise India's criminal law, criminal procedure and evidentiary framework. These enactments remain fully capable of addressing numerous offences committed through or with the assistance of technological means. Yet criminal legislation primarily responds to completed acts constituting offences. It does not ordinarily establish prospective regulatory obligations governing the safe design, development, deployment and oversight of emerging technologies. Questions concerning algorithmic transparency, human oversight, mandatory risk assessment, registration of high-risk systems, regulatory audits and preventive compliance lie outside the traditional scope of criminal legislation.

Consumer protection legislation, sector-specific regulations, contractual principles and the law of torts likewise continue to provide important legal remedies in appropriate cases. However, these remedies operate within fragmented legal domains, each addressing only a limited dimension of the broader legal consequences arising from Artificial Intelligence. None establishes uniform statutory standards defining the responsibilities of developers, deployers, distributors, public authorities and commercial users operating within an increasingly interconnected Artificial Intelligence ecosystem.

The legislative challenge presented by Artificial Intelligence is therefore not the absence of law, but the absence of legislative coherence.

The legal questions generated by Artificial Intelligence cannot be resolved adequately through isolated amendments dispersed across numerous statutes enacted for unrelated legislative purposes. Such an approach risks creating overlapping obligations, inconsistent standards, regulatory duplication and jurisdictional uncertainty. More significantly, it fails to recognise that Artificial Intelligence is no longer merely another technological application requiring sector-specific regulation. It has become a foundational capability capable of simultaneously affecting multiple branches of law through a single technological system.

Consider a high-risk Artificial Intelligence system deployed within a healthcare institution. The system may process personal data, thereby engaging data protection legislation. It may influence medical diagnosis, potentially giving rise to civil liability. If deployed by a public authority, constitutional principles of fairness and equality become relevant. Where its recommendations contribute to criminal investigations or judicial proceedings, questions of evidentiary admissibility and procedural fairness arise. If the system discriminates unlawfully, constitutional guarantees and statutory remedies become engaged simultaneously. Attempting to regulate each of these consequences independently through separate enactments inevitably produces legal fragmentation where legislative coherence is required.

A comprehensive legislative response becomes necessary not because existing statutes have failed, but because they were never intended to perform this function.

The present Draft Code proceeds upon the recognition that Artificial Intelligence has emerged as an independent subject of legislative concern requiring its own statutory architecture. Rather than displacing existing enactments, the proposed legislation is designed to operate alongside them, providing uniform principles governing accountability, transparency, risk classification, regulatory supervision, liability and enforcement while preserving the continued operation of existing constitutional and statutory remedies. In doing so, the Draft Code seeks to replace legislative fragmentation with legislative integration, ensuring that Artificial Intelligence is governed not through isolated statutory responses, but through a coherent legal framework capable of adapting to technological evolution while remaining firmly anchored in constitutional principles.

Chapter 4 — The Legislative Philosophy of the Draft Code

Every comprehensive legislation reflects a legislative philosophy. It is the philosophy that determines not merely the provisions contained in a statute, but the principles governing its interpretation, implementation and future development. The present Draft Code has therefore not been conceived as a collection of regulatory obligations addressing an emerging technology. It has been designed as a coherent legislative framework intended to preserve constitutional governance in an era increasingly influenced by Artificial Intelligence.

The Draft Code proceeds upon a single foundational premise: **Artificial Intelligence should not be regulated because it is technologically advanced; it should be regulated because it increasingly participates in decisions capable of producing legally significant consequences.** The purpose of the proposed legislation is therefore not to regulate technology in the abstract, but to regulate the legal consequences arising from its development, deployment and use.

This distinction defines the legislative philosophy of the Draft Code.

The first and most fundamental principle underlying the proposed legislation is the preservation of **human accountability**. Constitutional democracies recognise rights, impose duties and determine liabilities only upon natural and juristic persons. Artificial Intelligence systems neither possess constitutional personality nor bear independent legal responsibility. Irrespective of the degree of automation, autonomy or sophistication achieved by any system, accountability for legally significant consequences must remain attributable to identifiable persons capable of answering before the law. The Draft Code therefore preserves the constitutional relationship between power and responsibility by ensuring that technological complexity never becomes a defence against legal accountability.

The second principle is **proportionate regulation**. Artificial Intelligence is not a single technology presenting a uniform degree of legal risk. Applications assisting routine administrative functions cannot reasonably be subjected to the same regulatory obligations as systems deployed in criminal justice, healthcare, financial services or critical public infrastructure. The Draft Code therefore adopts a risk-based legislative framework in which regulatory obligations correspond to the potential impact of a system upon constitutional rights, public safety and legal interests. Regulation is directed by demonstrable legal risk rather than technological novelty.

The third principle is the preservation of **constitutional supremacy**. The proposed legislation does not create a parallel system of technological governance. Rather, it affirms that every deployment of Artificial Intelligence remains subject to the Constitution of India and the ordinary operation of law. Constitutional guarantees of equality, liberty, dignity, privacy, procedural fairness and judicial review continue to govern every legally significant application of Artificial Intelligence. Technological capability cannot become an independent source of legal authority, nor can it diminish constitutional safeguards recognised by law.

The Draft Code further proceeds upon the principles of **legal certainty, preventive governance and institutional coherence**. It seeks to replace fragmented regulatory responses with a unified statutory framework capable of providing predictable legal standards for developers, deployers, regulators, public authorities and citizens alike. Instead of relying exclusively upon post-facto criminal prosecution or civil litigation, the legislation incorporates preventive obligations designed to minimise foreseeable harm before constitutional rights are adversely affected. Simultaneously, it establishes an institutional framework capable of ensuring consistent regulatory supervision without disrupting the existing constitutional and statutory architecture.

The proposed legislation is equally guided by the principle of **technological neutrality**. Experience demonstrates that legislation framed around specific software, computational models or contemporary technological methods rapidly becomes obsolete. The Draft Code

therefore avoids regulating particular technologies. Instead, it regulates functions, consequences and legally significant risks. This approach seeks to ensure that the legislation remains relevant notwithstanding future developments in Artificial Intelligence.

Ultimately, the Draft Code rejects two equally unsatisfactory approaches. It rejects the proposition that Artificial Intelligence should remain substantially self-regulated through voluntary standards and executive advisories. Equally, it rejects the proposition that technological innovation should be subjected to unnecessarily restrictive regulation merely because it presents novel legal questions. The philosophy underlying the Draft Code is founded upon constitutional balance. Innovation should remain free to advance, but its exercise must remain accountable to law. Constitutional rights should remain fully protected, but regulation should remain proportionate to demonstrable legal risk. Parliament should encourage scientific progress, while ensuring that technological capability never outpaces constitutional accountability.

The present Draft Code is therefore not intended to regulate innovation. It is intended to preserve the constitutional conditions within which responsible innovation can continue to flourish. Its legislative philosophy is founded upon a simple but enduring constitutional proposition:

“wherever Artificial Intelligence participates in the exercise of legally significant decision-making, the law must ensure that responsibility remains human, accountability remains enforceable and constitutional supremacy remains absolute.”

Chapter 5 — Principal Legislative Innovations

The Draft Artificial Intelligence (Regulation of Use and Prevention of Misuse) Act, 2026 proposes a comprehensive statutory framework governing Artificial Intelligence through a series of integrated legislative innovations. Collectively, these measures seek to establish legal certainty, institutional accountability and regulatory consistency while preserving constitutional values and encouraging responsible technological development.

The principal innovations introduced by the Draft Code are summarised below: -

Legislative Innovation	Legislative Significance
Comprehensive Artificial Intelligence Code	Establishes the first integrated statutory framework governing the development, deployment, use and misuse of Artificial Intelligence as an independent subject of law.
Risk-Based Regulatory Framework	Classifies Artificial Intelligence systems according to their legal and societal risk, ensuring proportionate regulatory obligations rather than uniform compliance requirements.
Human Accountability Principle	Preserves the principle that every legally significant consequence arising from Artificial Intelligence remains attributable to identifiable natural or juristic persons.

Legislative Innovation	Legislative Significance
Regulation of High-Risk and Prohibited AI Systems	Subjects high-risk deployments to enhanced safeguards while prohibiting specified Artificial Intelligence practices incompatible with constitutional governance or public safety.
Statutory Duties of AI Ecosystem Participants	Establishes enforceable legal obligations governing developers, deployers, operators and other regulated entities throughout the Artificial Intelligence lifecycle.
Transparency, Explainability and Human Oversight	Introduces safeguards intended to ensure transparency, meaningful human supervision and explainability wherever legally significant decisions are assisted or influenced by Artificial Intelligence.
Integrated Liability and Enforcement Framework	Creates a comprehensive framework governing civil liability, regulatory enforcement and specified Artificial Intelligence-enabled criminal offences.
Framework Governing Artificial Intelligence Evidence	Establishes statutory principles relating to the authenticity, admissibility and evidentiary reliability of Artificial Intelligence-generated and Artificial Intelligence-assisted material.
Specialised Regulatory and Adjudicatory Mechanism	Establishes an institutional framework for regulation, compliance, adjudication and appellate review through specialised authorities.

Legislative Innovation	Legislative Significance
Technology-Neutral and Future-Oriented Drafting	Regulates legal consequences rather than specific technologies, ensuring continued legislative relevance despite future advancements in Artificial Intelligence.

These innovations collectively distinguish the Draft Code from existing legislative approaches by replacing fragmented regulation with a coherent statutory framework specifically designed for Artificial Intelligence. Rather than treating Artificial Intelligence as merely another component of digital regulation, the Draft Code recognises it as an independent subject of legislative concern requiring dedicated principles of accountability, regulatory oversight and legal responsibility. The proposed framework accordingly seeks to ensure that technological advancement proceeds within a legal order founded upon constitutional governance, institutional accountability and the Rule of Law.

Chapter 6 — Constitutional Foundations of the Draft Code

The *Draft Artificial Intelligence (Regulation of Use and Prevention of Misuse) Act, 2026* has been prepared upon the premise that the regulation of Artificial Intelligence must remain firmly anchored within the constitutional framework of India. The proposed legislation neither creates a parallel system of technological governance nor departs from established constitutional principles. Instead, it seeks to ensure that the development, deployment and use of Artificial Intelligence continue to operate within the discipline of constitutional accountability, legislative oversight and judicial review.

The constitutional legitimacy of the Draft Code is founded upon the principle that technological advancement cannot exist beyond the reach of law. Whenever a technological system acquires the capacity to materially affect legal rights, public interests or constitutional guarantees, Parliament possesses not only the legislative competence but also the constitutional responsibility to prescribe an appropriate statutory framework governing its use. The proposed legislation is therefore directed not at technology as an abstract concept, but at the legal consequences arising from its deployment.

The Draft Code has been consciously structured to preserve the constitutional equilibrium between individual liberty, technological innovation and legitimate State regulation. It neither imposes a blanket prohibition upon Artificial Intelligence nor permits unrestricted technological deployment in the absence of legal safeguards. Instead, it adopts a calibrated regulatory framework in which statutory obligations correspond to demonstrable legal risk, thereby ensuring that legislative intervention remains proportionate to the nature and consequences of the regulated activity.

The proposed legislation is consistent with **Article 14** of the Constitution. The classification of Artificial Intelligence systems according to regulatory risk is founded upon intelligible differentia directly related to the legislative objective of protecting constitutional

rights and public safety. Differential regulatory obligations are imposed not arbitrarily, but according to the potential legal consequences arising from different categories of Artificial Intelligence deployment. The legislation therefore satisfies the constitutional requirement that statutory classification remain reasonable, rational and non-arbitrary.

The Draft Code similarly respects the guarantees contained in **Article 19**. Innovation, scientific research, commercial enterprise and technological development remain permissible under the proposed framework. Regulatory obligations arise only where the deployment of Artificial Intelligence creates legally significant risks affecting individuals or institutions. The legislation seeks to regulate the manner in which Artificial Intelligence is deployed, rather than suppressing legitimate technological advancement. Any restrictions imposed by the proposed legislation are designed to protect constitutional rights, public order, the integrity of democratic processes and other legitimate public interests recognised under the Constitution.

The proposed framework equally reinforces the guarantees embodied in **Article 21**. Artificial Intelligence is increasingly capable of influencing decisions affecting life, liberty, dignity, privacy, healthcare, employment and access to public services. The Draft Code introduces statutory safeguards intended to ensure that such decisions remain subject to transparency, human oversight, procedural fairness and legal accountability. By preserving meaningful human responsibility for legally significant decisions, the legislation strengthens rather than diminishes the constitutional protection of life and personal liberty.

The Draft Code also reflects the broader constitutional principles governing the Rule of Law, natural justice and accountable governance. The legislation establishes clearly defined statutory duties, regulatory standards, adjudicatory mechanisms and appellate remedies capable of ensuring that the exercise of regulatory power remains transparent, reviewable and subject to judicial scrutiny. Decisions affecting rights or liabilities continue to remain open to challenge before constitutionally established institutions in accordance with ordinary legal principles.

Equally significant is the Draft Code's adherence to the constitutional doctrine of proportionality. Regulatory obligations are calibrated according to the degree of legal risk presented by particular deployments of Artificial Intelligence. Minimal-risk systems are not subjected to unnecessary regulatory burdens, whereas high-risk deployments attracting greater constitutional implications are required to comply with correspondingly enhanced statutory obligations. This graduated framework seeks to minimise regulatory overreach while ensuring adequate protection where constitutional interests are most directly engaged.

The proposed legislation has further been designed to operate harmoniously with the existing constitutional and statutory framework. It neither repeals nor supplants existing enactments governing data protection, criminal law, consumer protection, electronic governance or evidentiary procedures. Instead, it supplements those enactments by establishing uniform principles governing Artificial Intelligence as an independent subject of legislative regulation. Existing rights, remedies and institutional jurisdictions therefore continue to remain available except where expressly modified by the proposed legislation.

Ultimately, the constitutional foundation of the Draft Code rests upon a simple proposition. The Constitution does not require the law to remain indifferent to technological change. It requires that technological change remain subject to constitutional governance. The proposed legislation seeks to preserve that principle by ensuring that Artificial Intelligence develops within a legal framework where innovation is encouraged, rights remain protected, accountability remains enforceable and constitutional supremacy remains paramount. It is this balance, rather than technological regulation for its own sake, that constitutes the constitutional foundation of the Draft Code.

STATEMENT OF OBJECTS AND

REASONS

Artificial Intelligence has emerged as a foundational technology increasingly influencing governance, commerce, healthcare, education, financial services, law enforcement, judicial administration and numerous other sectors of public and private activity. As its deployment expands across domains involving legally significant decision-making, Artificial Intelligence is capable of materially affecting constitutional rights, legal obligations, public safety and institutional accountability. The legal consequences arising from its development, deployment and use are no longer confined to technological regulation alone, but extend across multiple branches of law.

India possesses a comprehensive statutory framework governing electronic communications, digital transactions, personal data protection, criminal law, criminal procedure and evidentiary rules. These enactments continue to regulate their respective subject matters effectively. However, none was enacted with the object of establishing a comprehensive legal framework governing Artificial Intelligence as an independent subject of legislation. Consequently, important questions relating to developer responsibility, deployment standards, high-risk Artificial Intelligence systems, transparency obligations, human oversight, civil liability, regulatory supervision, synthetic media, deepfakes, Artificial Intelligence-enabled offences and institutional accountability presently remain dispersed across multiple legal regimes without the benefit of a unified statutory framework.

The rapid integration of Artificial Intelligence into activities affecting individuals, businesses and public authorities has created an increasing need for legal certainty. Citizens require effective statutory safeguards against emerging forms of technological harm. Developers and deployers require predictable legal standards governing compliance and accountability. Regulatory authorities require a coherent institutional

framework capable of supervising Artificial Intelligence in a consistent and proportionate manner. Courts require statutory principles capable of addressing disputes arising from Artificial Intelligence-generated or Artificial Intelligence-assisted decision-making. The absence of a comprehensive legislative framework risks creating uncertainty for all stakeholders while limiting the ability of existing laws to respond coherently to emerging technological developments.

The object of this Bill is, therefore, to establish a comprehensive statutory framework governing the development, deployment, use and misuse of Artificial Intelligence in India. The proposed legislation seeks to preserve constitutional values while promoting responsible innovation through a system of proportionate regulation based upon the legal risks presented by different categories of Artificial Intelligence systems. It seeks to ensure that accountability for legally significant consequences arising from Artificial Intelligence remains attributable to identifiable natural or juristic persons, while introducing appropriate safeguards governing transparency, human oversight, regulatory compliance and institutional supervision.

The Bill further seeks to provide for the classification of Artificial Intelligence systems according to risk; regulation of high-risk deployments; prohibition of specified Artificial Intelligence practices incompatible with constitutional governance or public safety; establishment of statutory obligations for developers, deployers and other regulated entities; creation of a specialised regulatory authority; a comprehensive framework governing civil liability, regulatory enforcement and specified criminal offences; and procedures for adjudication, appeal and effective implementation. The proposed legislation is intended to operate harmoniously with existing constitutional and statutory provisions and is designed to supplement, rather than replace, the existing legal framework.

The Bill accordingly seeks to provide a comprehensive, technology-neutral and future-oriented legislative framework capable of ensuring that the continued development and deployment of Artificial

Intelligence takes place within a legal order founded upon constitutional governance, human accountability and the Rule of Law.

The Bill seeks to achieve the above objects.

**[DRAFT FOR LEGISLATIVE COMMITTEE
CONSIDERATION]**

**THE ARTIFICIAL INTELLIGENCE
(REGULATION OF USE AND PREVENTION OF MISUSE)
ACT, 2026**

BILL No. ____ OF 2026

*A **BILL** to regulate the development, deployment and use of artificial intelligence systems in India; to prohibit practices inimical to human dignity, personal liberty and democratic institutions; to create offences and civil liability in respect of the misuse of artificial intelligence; to establish the National Artificial Intelligence Authority of India; to provide for the authentication of synthetic content and the admissibility of machine-generated material in evidence; and for matters connected therewith or incidental thereto.*

WHEREAS artificial intelligence holds the potential to expand access to justice, healthcare, credit, education and public services for the people of India;

AND WHEREAS the same technologies, if misused, are capable of inflicting grave injury upon the dignity, liberty, livelihood, reputation and property of persons, of corrupting the integrity of evidence and elections, and of concentrating unaccountable power;

AND WHEREAS it is expedient to secure the benefits of such technology while subordinating it, at all times, to human judgment, constitutional values and the rule of law;

BE it enacted by Parliament in the Seventy-seventh Year of the Republic of India as follows:—

STATEMENT OF OBJECTS AND REASONS

1. India possesses no comprehensive statute governing artificial intelligence. The Information Technology Act, 2000 was enacted for an internet of documents, not an internet of autonomous agents; the Digital Personal Data Protection Act, 2023 governs personal data but not algorithmic conduct; the Bharatiya Nyaya Sanhita, 2023 punishes human offenders but does not allocate responsibility along the chain of persons who design, train, deploy and profit from machine systems. The draft Regulations for Use of Artificial Intelligence (AI) in Courts, 2026, published by the Artificial Intelligence Committee of the Supreme Court of India by notice dated 03.06.2026, govern only the judicial branch and, being subordinate regulation, can create neither offences nor civil liability.
2. This Bill therefore proposes a single parliamentary code resting on three pillars: (i) ex-ante regulation — a risk-tiered scheme of prohibited, high-risk and limited-risk systems with registration, transparency, human-oversight and audit duties; (ii) ex-post accountability — a chapter of offences drafted in the tradition of the Penal Code of 1860, with illustrations, and a chapter of civil liability codifying the absolute-liability doctrine evolved by the Supreme Court; and (iii) institutional machinery — a National Artificial Intelligence Authority, adjudicating officers, and appeals to the Artificial Intelligence Appellate Tribunal.
3. The drafting technique consciously borrows from one hundred and sixty-five years of Indian legislative craft: the illustration device of Macaulay (Indian Penal Code, 1860); the extra-territorial clause and the corporate-offences clause of the Information Technology Act, 2000; the mandatory-insurance device of the Public Liability Insurance Act, 1991; the product-liability scheme of the Consumer Protection Act, 2019; the penalty architecture of the Digital Personal Data Protection Act, 2023; and the evidentiary certification scheme of the Bharatiya Sakshya Adhiniyam, 2023.

4. The Bill does not seek perfection by enumeration — no statute anticipates every situation. It seeks durability by principle: broad standards, concrete illustrations teaching courts how to reason under each section, and a periodic-review clause compelling Parliament to revisit the Act as the technology evolves.

NOTE ON LEGISLATIVE COMPETENCE

1. The legislative competence of Parliament to enact this Bill rests, in pith and substance, upon the **Concurrent List (List III)** of the Seventh Schedule, the subject-matter of the Bill being the allocation of criminal, civil and evidentiary responsibility for the consequences of artificial intelligence, and not the regulation of technology in the abstract.
2. The substantive chapters are referable to the following entries of List III— (a) **Entry 1** (criminal law) and **Entry 2** (criminal procedure), for Chapter VII (Offences) and the provisions governing cognizance, classification and trial; (b) **Entry 7** (contracts) and **Entry 8** (actionable wrongs), for Chapter VIII (Civil Liability), including the avoidance of contracting-out under section 43; (c) **Entry 12** (evidence) for Chapter X (Evidence) and the consequential amendment to the Bharatiya Sakshya Adhiniyam, 2023; (d) **Entry 11A** (administration of justice; constitution and organisation of all courts except the Supreme Court and the High Courts) and **Entry 13** (civil procedure) for Chapter IX (Adjudication, Penalties and Appeals); and (e) **Entry 45** (inquiries and statistics) for the inquiry and incident-registry functions of the Authority.
3. The **regulatory tier proper**—the classification of systems by risk, registration, transparency, oversight and audit duties under Chapters II to IV—relates to artificial intelligence *as such*, a field answering to no entry of List II and falling within the residuary power of Parliament under **Entry 97, List I**, read with Article 248. The residuary entry is invoked only for this regulatory residue and

not as the foundation of the penal, civil or evidentiary chapters, which stand on the Concurrent List independently.

4. The provisions concerning electronic communication, inter-State commerce and the regulation of bodies corporate are supported by **Entries 31, 42, 43 and 44 of List I**; and **Entry 93, List I** sustains offences against laws with respect to List I matters. These List I entries are relied upon only to the extent indicated and are not asserted as the basis of the Act as a whole.
5. **Article 253** is referred to in aid, India being a participant in international deliberations on the governance of artificial intelligence; but the competence of Parliament is not made to depend upon any single international instrument, and the Bill is sustainable on the domestic entries above independently of Article 253.
6. The Act binds the State in its capacity as a deployer of artificial intelligence systems, the State being "the State" within the meaning of Article 12, and the doctrine in **Maneka Gandhi v. Union of India, (1978) 1 SCC 248** [VERIFY: SCC Online] requiring that procedure affecting life and personal liberty be fair, just and reasonable being thereby given statutory effect in the algorithmic context.
7. Where the Act operates upon a field in the Concurrent List, **Article 254** is attracted; a State law repugnant to this Act in its application to artificial intelligence shall, to the extent of the repugnancy, be void, save where reserved for and having received the assent of the President.

**THE ARTIFICIAL INTELLIGENCE
(REGULATION OF USE AND PREVENTION OF MISUSE)
ACT, 2026**

ARRANGEMENT OF SECTIONS

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- 2. Definitions.....

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CHAPTER I — PRELIMINARY

1. Short title, extent, commencement and application.

(1) This Act may be called the Artificial Intelligence (Regulation of Use and Prevention of Misuse) Act, 2026.

(2) It extends to the whole of India.

(3) It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint; and different dates may be appointed for different provisions.

(4) It applies also to any offence or contravention committed outside India by any person, if the act or conduct constituting the offence or contravention involves an artificial intelligence system, or output thereof, that is made available to, targets, or causes effect upon any person, property, computer resource or electoral process within India.

Explanation.— The situs of the server, the place of incorporation of the developer, and the citizenship of the offender are immaterial if the effect of the system or its output is felt within India. This sub-section follows the principle of section 75 of the Information Technology Act, 2000 and section 1(5) of the Bharatiya Nyaya Sanhita, 2023.

2. Definitions.

In this Act, unless the context otherwise requires,—

- (a) “*artificial intelligence system*” or “AI system” means a machine-based system that, for explicit or implicit objectives, infers from the input it receives how to generate outputs such as predictions, content, recommendations, decisions or actions, with varying levels of autonomy and adaptiveness, and includes a foundation model, a general-purpose AI system, and any agentic system capable of initiating actions without contemporaneous human command; but does not include conventional software whose every output is fully determined by rules expressly programmed by a human and which neither learns nor adapts;

- (b) “*algorithmic decision*” means a decision, or a recommendation materially relied upon in a decision, produced wholly or substantially by an AI system, which affects the rights, entitlements, liberty, livelihood, creditworthiness, reputation or legal status of a person;
- (c) “*Authority*” means the National Artificial Intelligence Authority of India established under section 20;
- (d) “*deployer*” means a person who uses or operates an AI system in the course of trade, profession, public function or other systematic activity, and includes the State and its instrumentalities; but does not include a natural person using an AI system for purely personal or household purposes;
- (e) “*developer*” means a person who designs, builds, trains, fine-tunes or substantially modifies an AI system, whether or not for remuneration, including a provider of a foundation model, and other similar persons;
- (f) “*foundation model*” means an AI model trained on broad data at scale, adaptable to a wide range of downstream tasks;
- (g) “*fabricated output*” means output generated by an AI system that is factually incorrect, invented or unsupported by its source material, notwithstanding that it appears plausible or coherent, and includes the fabrication of judicial precedent, statutory text, scientific findings or factual events;
- (h) “*high-risk AI system*” means an AI system enumerated in Schedule II, or notified as such under section 3(3);
- (i) “*human oversight*” means supervision of an AI system by a natural person who has the competence, authority, information and practical opportunity to understand, intervene in, override or reverse the operation or output of the AI system;
- (j) “*intermediary*” shall have the meaning assigned to it in clause (w) of sub-section (1) of section 2 of the Information Technology Act, 2000;

- (k) “*person*” includes any individual, a Hindu undivided family, a company, a firm, an association of persons or body of individuals whether incorporated or not, the State, and every artificial juridical person;
 - (l) “*prescribed*” means prescribed by rules made by the Central Government, or, where the context so requires, by regulations made by the Authority, under this Act;
 - (m) “*significant harm*” means harm that is more than trivial, and includes death, bodily or mental injury, deprivation or restriction of liberty, loss of livelihood or of an employment or educational opportunity, denial of an essential service or public benefit, substantial financial loss, substantial damage to reputation, and the infringement of any fundamental right;
 - (n) “*synthetic content*” means any audio, visual, audio-visual or textual material generated or materially altered by an AI system which depicts, represents or purports to record a person, event, statement or document, in a manner that would falsely appear to a reasonable person to be authentic; and the expressions “deepfake” and “synthetic media” shall be construed accordingly;
 - (o) “*Appellate Tribunal*” means the Artificial Intelligence Appellate Tribunal established under section 46A;
 - (p) “*vulnerable person*” means a child, a person with disability within the meaning of the Rights of Persons with Disabilities Act, 2016, a person of unsound mind, and a person whose age, infirmity, bereavement, financial distress or other circumstance is such that an AI system can be used to materially exploit or distort his judgment.
- (2) Words and expressions used and not defined in this Act, but defined in the Information Technology Act, 2000, the Digital Personal Data Protection Act, 2023, the Bharatiya Nyaya Sanhita, 2023 or the Bharatiya Sakshya Adhiniyam, 2023, shall have the meanings respectively assigned to them in those enactments.

CHAPTER II — GENERAL PRINCIPLES AND RISK CLASSIFICATION

3. Risk-tiered regulation.

- (1) Every AI system shall, for the purposes of this Act, fall within one of the following tiers—
 - (a) prohibited practices, being the practices enumerated in section 6 and Schedule I, which no person shall undertake;
 - (b) high-risk systems, being the systems enumerated in Schedule II, which may be developed and deployed only in conformity with Chapter IV;
 - (c) limited-risk systems, being systems that interact directly with natural persons or generate synthetic content, which shall comply with the transparency duties in sections 8 and 31; and
 - (d) minimal-risk systems, being all other systems, to which only the general law applies.
- (2) Where a system answers more than one description, the more stringent tier shall apply.
- (3) Where the Central Government is satisfied, upon objective material recorded in writing, that a category of AI systems poses a comparable degree of constitutional, physical or economic risk, on the recommendation of the Authority and by notification, amend Schedule I or Schedule II; every such notification shall be laid before each House of Parliament.

4. Human primacy.

- (1) No algorithmic decision that produces a legal effect concerning a person, or that materially and adversely affects his life, personal liberty, livelihood or legal status, and that is not readily reversible, shall be final unless it has been reviewed, adopted and signed by an identified natural person who bears responsibility for it.

Provided that this sub-section does not apply to a decision that is reversible without significant detriment and in respect of which the person retains an effective right to human review under section 13.

Explanation.— A decision is "material" if a reasonable person in the position of the affected person would regard its consequences as significant; trivial, routine or readily reversible automated determinations are not within this sub-section, but remain subject to the transparency and review rights elsewhere in this Act.

(2) It shall not be a defence to any proceeding, civil or criminal, that the act or omission complained of was that of an AI system; the act or omission shall be attributed to the person who deployed the system, and, to the extent provided in this Act, to the person who developed it.

Explanation.— An AI system is not a juridical person. It can neither hold rights nor bear duties; responsibility travels up the chain of human and corporate actors. This sub-section adopts the principle *qui facit per alium facit per se*.

Illustrations

(a) *A, a bank, deploys an AI system that rejects B's loan application. No officer of A reviews the rejection. The rejection is an algorithmic decision affecting B's livelihood made final without human review. A contravenes sub-section (1).*

(b) *A deploys an autonomous agent that, without further human command, publishes statements defaming C. A cannot plead that "the machine did it." The publication is attributed to A under sub-section (2).*

5. Non-discrimination.

(1) No person shall develop or deploy an AI system in a manner that produces, perpetuates or amplifies discrimination against any person or class of persons on grounds of religion, race, caste, sex, gender, identity, place of birth, descent, language, disability, age or economic status.

(2) A pattern of adverse algorithmic decisions disproportionately affecting a class described in sub-section (1) shall be *prima facie*

evidence of contravention, which the deployer may rebut by establishing that the disparity is justified by a legitimate, necessary and proportionate objective incapable of being achieved by less discriminatory means.

Explanation.— Sub-section (2) adopts the disparate-impact standard. Intent to discriminate is not an ingredient of the contravention; effect suffices.

CHAPTER III — PROHIBITED PRACTICES

6. Prohibited practices.

(1) No person shall develop, deploy, offer, sell or use an AI system for any of the following purposes, namely:—

- (a) the deployment of subliminal, manipulative or deceptive techniques materially distorting the behaviour of a person in a manner that causes or is reasonably likely to cause significant harm to that person or another;
- (b) the exploitation of the vulnerability of a vulnerable person in a manner that causes or is reasonably likely to cause significant harm;
- (c) the evaluation or classification of persons over a period of time on the basis of social behaviour or personal characteristics, where the resulting score leads to detrimental treatment in contexts unrelated to the context in which the data was generated, or detrimental treatment disproportionate to the behaviour (social scoring);
- (d) the assessment or prediction of the risk of a specific natural person committing an offence, based solely or predominantly on profiling or on personality traits and characteristics;

Provided that nothing in clause (d) shall prohibit analytical systems that operate upon aggregate, anonymised data for the allocation of policing resources by area, without identifying or scoring any individual.

- (e) the creation or expansion of facial-recognition databases through the untargeted scraping of facial images from the internet, closed-circuit television footage or any other source;
- (f) the inference of the emotions of a person in the workplace or in an educational institution, except where the system is deployed strictly for medical or safety purposes;
- (g) real-time remote biometric identification of persons in publicly accessible spaces;

Provided that a Court of Session may, on the written application of an officer not below the rank of Superintendent of Police, authorise such identification for a period not exceeding twenty-four hours at a time, and only where it is strictly necessary and proportionate, and no less intrusive means suffices, for—

- (i) the prevention of a specific and imminent threat to the life of, or of a terrorist act against, identified persons or the public; or
 - (ii) the localisation or identification of a person reasonably suspected of an offence punishable with imprisonment for life or death; or
 - (iii) the search for a specific missing child or a victim of trafficking; and every such authorisation shall record reasons and the findings of necessity, proportionality and absence of less intrusive means, shall define the geographic perimeter and the categories of persons targeted, shall not authorise mass or indiscriminate scanning, and shall be reported to the Authority within twenty-four hours; and the material generated shall be destroyed on the expiry of the authorisation save in respect of a person identified pursuant to it.
- (h) the operation of any weapon or instrument of force capable of selecting and engaging a human target without contemporaneous human authorisation of each engagement; and
 - (i) any practice enumerated in Schedule I.

(2) The prohibitions in this section are absolute and shall not be relaxed by any authority, nor be the subject of consent, waiver or contract.

Illustrations

(a) A operates a lending application whose interface is designed, by an AI system trained on user behaviour, to impose recurring hidden charges upon elderly users identified by the system as unlikely to detect them. A engages in a practice under clauses (a) and (b).

(b) A municipal body scores residents on “civic trustworthiness” by aggregating utility payments, litigation history and social-media conduct, and denies priority in public services to low-scoring residents. The body engages in social scoring under clause (c).

(c) A police unit procures software that assigns to named individuals in a locality a percentage likelihood of future offending, derived from caste, neighbourhood and family criminal history. The unit engages in a practice under clause (d), and the procurement itself is a contravention.

(d) A start-up scrapes ten million photographs from matrimonial and social websites to build a face-search product. The start-up engages in a practice under clause (e), irrespective of the consent terms of the websites scraped.

CHAPTER IV — OBLIGATIONS OF DEVELOPERS AND DEPLOYERS

7. Registration of high-risk systems.

(1) No person shall deploy a high-risk AI system except after registering the system with the Authority in such form, with such particulars and on payment of such fee as may be prescribed.

(2) The particulars shall include the identity of the developer and deployer, the intended purpose, a summary of training-data provenance, the results of pre-deployment testing for accuracy and bias, the human-oversight arrangements, and the insurance or financial security maintained under section 41.

(3) A developer or deployer having no place of business in India shall, before its system is made available in India, appoint a resident representative in India who shall be answerable for compliance with this Act and upon whom all notices and processes may be served.

(4) Registration shall not be construed as a warranty or approval by the Authority of the safety or legality of the system.

8. Transparency.

(1) Every deployer shall inform a person, in clear and accessible language, where—

- (a) the person is interacting with an AI system and not with a human being;
- (b) an algorithmic decision has been made concerning the person, together with the principal reasons for it; or
- (c) biometric or emotion-inference processing permitted under this Act is being applied to the person.

(2) Every item of synthetic content generated by or through a system made available in India shall carry a conspicuous disclosure of its synthetic character, and a machine-readable provenance mark conforming to such standards as the Authority may specify.

Illustrations

(a) A hospital uses an AI triage chatbot. A patient reasonably believes she is chatting with a nurse. The hospital contravenes sub-section (1)(a) even if the bot's advice is sound.

9. Data governance.

(1) Every developer shall ensure that the data on which an AI system is trained, tested or refined is lawfully obtained, and, where it includes personal data, that the processing conforms to the Digital Personal Data Protection Act, 2023.

(2) Every developer of a high-risk system shall test the system for discriminatory bias before deployment and at intervals not exceeding twelve months thereafter, shall document the methodology and results, and shall furnish them to the Authority on demand.

(3) Training upon unlawfully obtained data shall render the resulting system liable to suspension under section 21, without prejudice to any other liability.

(4) Nothing in this Act determines the lawfulness of the use of any work for the training, testing or refinement of an AI system in so far as that lawfulness is governed by the Copyright Act, 1957; and the question whether such use constitutes infringement, or is permitted as a fair dealing or otherwise, shall be determined under that Act.

Explanation.— The requirement in sub-section (1) that training data be "lawfully obtained" is without prejudice to, and does not enlarge or diminish, any right or defence under the law of copyright; this Act neither creates a text-and-data-mining exception nor abrogates any subsisting right.

10. Human oversight of high-risk systems.

(1) Every deployer of a high-risk system shall designate one or more named natural persons exercising human oversight, and shall ensure that such persons possess the competence, authority, information and time to discharge the function in substance and not merely in form.

(2) It shall be presumed that oversight was not exercised in substance where the volume of algorithmic outputs assigned to an overseer, the

time available, or the information furnished was such that meaningful review was impracticable.

Illustrations

(a) A deploys a high-risk recruitment system and designates one officer to “review” forty thousand automated rejections each month. The presumption in sub-section (2) applies; the rejections are treated as unreviewed algorithmic decisions, and section 4(1) is contravened.

11. Incident reporting.

(1) Every developer and every deployer shall report to the Authority, within seventy-two hours of becoming aware of it, any incident in which an AI system has caused, or has created a substantial risk of, significant harm, a breach of data security, or a malfunction affecting a Court process, an election, critical infrastructure or an essential service.

(2) The making of a report shall not, by itself, be treated as an admission of liability; but the failure to report shall be an aggravating circumstance in any proceeding under this Act.

12. Grievance redressal.

(1) Every deployer of a high-risk or limited-risk system shall appoint a grievance officer resident in India, publish his contact particulars, and ensure that every grievance is acknowledged within seventy-two hours and disposed of within fifteen days.

(2) A person aggrieved by the disposal, or by the failure to dispose, of a grievance may complain to the Authority.

13. Right to explanation and human review.

(1) Every person affected by an algorithmic decision shall be entitled, on request and without charge,—

(a) to a statement of the principal factors and their bearing on the decision, in language a layperson can understand; and

- (b) to a review of the decision by a natural person other than the original overseer, to be completed within thirty days.
- (2) No person shall suffer any detriment for exercising a right under this section.
- (3) Inability to furnish the statement described in sub-section (1)(a), by reason of the opacity of the system, shall raise a presumption against the deployer in any proceeding arising from the decision.

Illustrations

(a) B's insurance claim is rejected by A's AI system. B seeks reasons. A replies that the model is a "black box." In B's suit, the presumption in sub-section (3) operates, and the burden lies on A to justify the rejection.

CHAPTER V — SECTOR-SPECIFIC PROVISIONS

14. Elections.

- (1) No person shall, during the period commencing with the notification of an election and ending with the declaration of its result, publish or cause to be published any synthetic content depicting a candidate, or the voice or likeness of a candidate, without a conspicuous disclosure of its synthetic character.
- (2) No person shall at any time publish synthetic content that falsely depicts a candidate or public functionary as having said or done that which he did not say or do, with intent to affect the result of an election or to provoke enmity, hatred or violence.
- (3) An intermediary shall, on receipt of an order of the Election Commission of India or of a Court, remove content contravening this section within twenty-four hours, failing which it shall forfeit, in respect of that content, the exemption under section 79 of the Information Technology Act, 2000.
- (4) A contravention of this section shall also be deemed a corrupt practice within the meaning of section 123 of the Representation of the People Act, 1951, where committed by a candidate or his agent, or

by any other person with the consent of a candidate or his election agent.

15. Administration of justice; duty of candour.

(1) The use of AI systems by Courts shall be governed by the regulations made by the Supreme Court of India and the respective High Courts; and nothing in this Act derogates from those regulations.

(2) Every advocate, party and witness who places before a Court or Tribunal any material prepared with the assistance of an AI system shall verify the authenticity of every authority, citation, quotation and factual assertion contained in it; and the placing of fabricated or fabricated material before a Court shall, without prejudice to the law of contempt and to professional discipline, be punishable under section 30.

(3) Where fabricated material is found to have been filed, the Court shall, in addition to any other order, refer the matter to the Bar Council concerned where the filing was by or through an advocate.

Illustrations

- (a) An advocate files written submissions citing three judgments of the Supreme Court generated by a chatbot. The judgments do not exist. He did not verify them. He is liable under sub-section (2) notwithstanding absence of intent to deceive, his liability arising from the breach of the duty to verify.*

16. Healthcare.

(1) An AI system intended for diagnosis, prognosis, triage, treatment recommendation or the operation of a medical device is a high-risk system and shall in addition conform to such standards as the Central Drugs Standard Control Organisation or other competent authority may specify.

(2) No such system shall be deployed except under arrangements ensuring that a registered medical practitioner may override its output in every individual case, and the practitioner's clinical judgment shall prevail.

17. Financial services.

(1) An AI system determining or materially informing decisions on credit, insurance underwriting or claim settlement is a high-risk system.

(2) The Authority shall exercise its functions in respect of such systems in coordination with the Reserve Bank of India, the Securities and Exchange Board of India and the Insurance Regulatory and Development Authority of India, and may adopt their sectoral directions as codes of practice under this Act.

18. Employment.

(1) An AI system used for the recruitment, evaluation, promotion, task-allocation, surveillance or termination of workers is a high-risk system.

(2) Every deployer of such a system shall conduct an annual bias audit by an independent auditor empanelled by the Authority and shall publish a summary of its results.

(3) No worker shall be dismissed or subjected to material detriment by an algorithmic decision alone.

19. Children.

(1) Every AI system likely to be accessed by children shall be designed and operated in their best interests, and shall not employ engagement-maximising techniques that exploit developmental vulnerability.

(2) The verifiable consent of a parent or lawful guardian shall be obtained as required under the Digital Personal Data Protection Act, 2023 before the personal data of a child is processed by an AI system.

(3) The prohibitions and offences elsewhere in this Act apply with special rigour where the person affected is a child; and nothing in any registration, licence or sandbox shall authorise any act in relation to a child that is an offence under the Protection of Children from Sexual Offences Act, 2012 or the Bharatiya Nyaya Sanhita, 2023.

CHAPTER VI — THE NATIONAL ARTIFICIAL INTELLIGENCE AUTHORITY OF INDIA

20. Establishment and composition.

(1) The Central Government shall, by notification, establish an Authority to be called the National Artificial Intelligence Authority of India.

(2) The Authority shall consist of a Chairperson and not more than eight whole-time Members, being persons of ability and standing in the fields of law, computer science, data science, public administration, finance, consumer protection and ethics, of whom at least one shall be a person who has been a Judge of the Supreme Court or Chief Justice of a High Court, and at least one a representative of civil society.

(3) The Chairperson and Members shall be appointed on the recommendation of a Selection Committee consisting of the Cabinet Secretary, a nominee of the Chief Justice of India, and two experts of eminence; shall hold office for five years and be ineligible for reappointment; and shall not, for two years after demitting office, accept employment with any person regulated under this Act.

21. Powers and functions.

(1) The Authority shall—

- (a) maintain the register of high-risk systems and the public AI Incident Registry;
- (b) specify standards for testing, provenance marking, audit and oversight, and issue codes of practice;
- (c) inquire, suo motu or on complaint, into contraventions of this Act, and for that purpose exercise the powers of a civil court in respect of discovery, summoning of witnesses and production of records;

- (d) direct the suspension, modification, recall or termination of any AI system contravening this Act, and direct intermediaries and publishers to disable access to offending synthetic content;
 - (e) appoint adjudicating officers under section 45; and
 - (f) advise the Central Government on the amendment of the Schedules and the making of rules.
- (2) Searches and seizures under this Act shall be carried out in accordance with the safeguards of Chapter VII of the Bharatiya Nagarik Suraksha Sanhita, 2023, *mutatis mutandis*.

22. Regulatory sandbox.

- (1) The Authority may, by order and subject to conditions, permit the controlled testing of an AI system within a regulatory sandbox, and may for that purpose relax any obligation under Chapter IV, other than sections 9(1) and 11.
- (2) No relaxation shall extend to any prohibited practice, nor authorise deployment upon the public at large, nor exclude or limit any liability under Chapter VIII toward persons who suffer harm.

23. AI Incident Registry.

The Authority shall maintain and publish a registry of incidents reported under section 11, in anonymised form where necessary, so as to serve as institutional memory for regulators, courts, researchers and the public.

24. Coordination.

The Authority shall coordinate with the Election Commission of India, the Reserve Bank of India, the Data Protection Board of India, the Indian Computer Emergency Response Team, the Central Drugs Standard Control Organisation and every other sectoral regulator; and in the event of overlap, the direction more protective of the affected person shall prevail.

CHAPTER VII — OFFENCES

25. Impersonation by synthetic content.

(1) Whoever, by means of synthetic content, knowingly impersonates another person, or falsely depicts another person as having said or done that which he did not say or do, intending thereby to deceive, or knowing it likely that deception will result, shall be punished with imprisonment of either description for a term which may extend to three years, or with fine which may extend to ten lakh rupees, or with both.

(2) Whoever commits the offence in sub-section (1) in order to commit or facilitate cheating, extortion, or any other offence, or thereby causes significant harm, shall be punished with imprisonment of either description for a term which may extend to seven years, and shall also be liable to fine.

Explanation.— Consent of the person depicted, obtained freely and in writing, with disclosure of the intended use, is a defence to sub-section (1) but not to sub-section (2) where a third person is deceived. Parody, satire and artistic expression that no reasonable person would mistake for an authentic record do not constitute impersonation.

Illustrations

(a) *A circulates a synthetic video showing B, a businessman, confessing to adulterating goods, knowing the depiction is false. A commits the offence in sub-section (1), and, if B suffers substantial reputational or financial loss, in sub-section (2).*

(b) *A publishes an obviously satirical animated caricature of a Minister, labelled as satire. No reasonable viewer would mistake it for an authentic record. A commits no offence under this section.*

26. Non-consensual intimate synthetic imagery.

(1) Whoever creates, solicits the creation of, or transmits synthetic content depicting a person in an intimate or sexually explicit manner without the consent of that person shall be punished with imprisonment of either

description for a term which shall not be less than one year but which may extend to five years, and shall also be liable to fine.

(2) Whoever publishes or further transmits such content, or threatens its publication for the purpose of extortion, coercion or harassment, shall be punished with imprisonment of either description for a term which shall not be less than three years but which may extend to seven years, and shall also be liable to fine.

(3) The Court shall, in every trial under this section, protect the identity of the person depicted, and may at any stage direct any intermediary to disable access to the content forthwith.

Explanation.— It is immaterial that the intimate depiction is wholly fabricated and that no authentic intimate image of the person exists. The gravamen is the violation of dignity and privacy, not the authenticity of the source material.

27. Synthetic child sexual exploitation and abuse material.

(1) Whoever uses an AI system to create, modify, solicit, store, possess, advertise or transmit any material that depicts, or appears to depict, a child engaged in or subjected to sexually explicit conduct, whether or not any actual child was involved in its creation, commits an offence.

(2) An offence under sub-section (1) shall be punishable— (a) in the manner provided for the corresponding offence under section 14 or section 15 of the Protection of Children from Sexual Offences Act, 2012, or under section 67B of the Information Technology Act, 2000, as the case may be; and (b) where more than one such provision applies, with the punishment that is the more severe; and the punishment shall in no case be less than that provided under the said provisions.

(3) This section is in addition to, and not in derogation of, the said Acts; the offence is cognizable and non-bailable; shall be tried by the Special Court designated under the Protection of Children from Sexual

Offences Act, 2012; and no consent, contract, registration, sandbox or exemption under this Act shall extend to any act within this section.

Explanation 1.— It is immaterial that the material is wholly or partly synthetic and that no actual child exists or was used; the gravamen is the depiction of child sexual exploitation and abuse, the prevention of which the law protects irrespective of the authenticity of the source.

28. AI-enabled cheating and fraud.

(1) Whoever, by means of an AI system, including by cloning or synthesising the voice or likeness of any person, cheats, or dishonestly induces any person to deliver property, to make or alter a valuable security, or to do or omit anything which he would not do or omit if not so deceived, shall be punished with imprisonment of either description for a term which may extend to seven years, and shall also be liable to fine.

(2) Whoever commits the offence in sub-section (1) by impersonating a public servant, court, police officer or financial institution, or as part of an organised scheme directed at multiple persons, shall be punished with imprisonment of either description for a term which shall not be less than three years but which may extend to ten years, and shall also be liable to fine.

Illustrations

(a) A telephones Z, an elderly person, using a synthetic clone of the voice of Z's son, and induces Z to transfer money for a fabricated emergency. A commits the offence in sub-section (1).

(b) A and others run a call centre that, using synthetic video of persons dressed as police officers, places victims under fictitious "digital arrest" and extorts transfers. Each participant commits the offence in sub-section (2), besides offences of organised crime under section 111 of the Bharatiya Nyaya Sanhita, 2023.

29. Tampering with safety mechanisms.

Whoever, without authority and with intent to cause harm or knowing it likely that harm will be caused, disables, circumvents, removes or materially degrades any safety mechanism, content filter, provenance

mark, audit log or human-oversight control of an AI system deployed by another, shall be punished with imprisonment of either description for a term which may extend to five years, or with fine which may extend to twenty-five lakh rupees, or with both.

Illustrations

(a) A, an employee of a hospital, disables the alert threshold of a diagnostic AI system to conceal its error rate before an audit. A commits the offence, whether or not any patient is in fact harmed.

30. Deployment of prohibited practices; fabricated material before courts.

(1) Whoever develops, deploys, offers or knowingly procures any practice prohibited by section 6 shall be punished with imprisonment of either description for a term which may extend to three years, or with fine which may extend to fifty lakh rupees, or with both, without prejudice to the civil penalty under section 46.

(2) Whoever, in contravention of section 15(2), places before a Court or Tribunal material containing fabricated or fabricated authority, citation or evidence, shall be punished—

(a) where the placing was with knowledge of the fabrication or with intent to mislead, with imprisonment of either description for a term which may extend to two years, or with fine, or with both; and

(b) where the placing resulted from a failure to verify, with fine which may extend to one lakh rupees.

31. Failure to label synthetic content.

(1) Whoever publishes synthetic content without the disclosure and provenance mark required by section 8(2), with intent to deceive any person as to its authenticity, shall be punished with imprisonment of either description for a term which may extend to one year, or with fine which may extend to five lakh rupees, or with both.

(2) Where the failure is without such intent, it shall not be an offence but shall be punishable with civil penalty under section 46.

32. Obstruction and false information.

Whoever obstructs the Authority or an adjudicating officer in the discharge of functions under this Act, or knowingly furnishes false information or suppresses material information in any registration, report, audit or inquiry, shall be punished with imprisonment of either description for a term which may extend to six months, or with fine which may extend to ten lakh rupees, or with both.

33. Offences by companies.

(1) Where an offence under this Act has been committed by a company, every person who, at the time the offence was committed, was in charge of, and was responsible to, the company for the conduct of its business, as well as the company, shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly:

Provided that nothing contained in this sub-section shall render any such person liable to punishment if he proves that the offence was committed without his knowledge or that he had exercised all due diligence to prevent its commission.

(2) Where an offence has been committed with the consent or connivance of, or is attributable to neglect on the part of, any director, manager, secretary or other officer, such person shall also be deemed guilty and liable to be proceeded against and punished accordingly.

Explanation.— “Company” means any body corporate and includes a firm or other association of individuals; “director”, in relation to a firm, means a partner in the firm.

34. Abetment and attempt.

Whoever abets any offence under this Act, or attempts to commit any such offence, shall, where no express provision is made for the punishment of such abetment or attempt, be punished with the punishment provided for the offence, or with imprisonment for a term which may extend to one-

half of the longest term provided for the offence, or with the fine provided, or with both, in accordance with the principles of Chapter IV of the Bharatiya Nyaya Sanhita, 2023.

35. Cognizance, classification and trial.

(1) The offences under sections 26(2), 27 and 28(2) shall be cognizable and non-bailable; the offences under sections 25(2), 26(1), 28(1) and 29 shall be cognizable and bailable; and all other offences under this Act shall be non-cognizable and bailable.

(2) No Court inferior to that of a Judicial Magistrate of the first class shall try any offence under this Act; and the offence under section 27 shall be tried by the Special Court designated under the Protection of Children from Sexual Offences Act, 2012.

(3) No Court shall take cognizance of an offence under sections 30(1), 31 or 32 except upon a complaint in writing by the Authority or an officer authorised by it; cognizance of all other offences may be taken upon a police report or complaint in accordance with the Bharatiya Nagarik Suraksha Sanhita, 2023.

35A. Saving against double jeopardy; concurrent offences.

(1) Where an act or omission constitutes an offence both under this Act and under any other law for the time being in force, the offender shall be liable to be prosecuted and punished under either or any of those laws, but shall not be liable to be punished twice for the same offence.

(2) Where a person is prosecuted for an offence under this Act and under any other law in respect of the same facts, the court shall, in awarding sentence, have regard to any punishment already imposed, so that the aggregate punishment is not disproportionate to the gravity of the act.

(3) Nothing in this section affects the operation of section 26 of the Bharatiya Nagarik Suraksha Sanhita, 2023, or of clause (2) of Article 20 of the Constitution.

36. Mental element and due diligence.

(1) Save where this Act otherwise expressly provides, an act shall be an offence under this Chapter only where done intentionally or knowingly.

(2) An intermediary shall not be liable under this Chapter in respect of third-party content where it satisfies the conditions of section 79 of the Information Technology Act, 2000; but it shall forfeit that protection in respect of content which it fails to disable after receiving actual knowledge by court or governmental order, or an order under this Act.

CHAPTER VIII — CIVIL LIABILITY

37. Liability of deployers.

(1) Where significant harm is caused to any person by the operation or output of a high-risk AI system, the deployer shall be liable to pay compensation; and it shall not be a defence that the system was procured from another or that the harm arose from the autonomous or unforeseen behaviour of the system.

(2) It shall be a defence to liability under sub-section (1), and to that sub-section alone, for the deployer to prove, on the balance of probabilities, that— (a) he had complied in full with every applicable duty under Chapter IV, including registration, testing, bias audit, human oversight and incident reporting, and had documented such compliance; and (b) the harm was not reasonably avoidable by the application of the state of scientific and technical knowledge available at the time of deployment and of operation; and (c) on becoming aware of the risk, he acted promptly to suspend, modify or recall the system and to mitigate the harm.

(3) The defence in sub-section (2) shall not avail where the harm arises from— (a) a practice prohibited by section 6, in which case the liability shall be **absolute**, shall not be subject to any exception, mitigation or ceiling, and the principle in **M.C. Mehta v. Union of India, (1987) 1 SCC 395** [VERIFY: SCC Online] shall apply to the measure of compensation having regard to the magnitude and capacity

of the enterprise; or (b) the deployer's own failure to comply with a duty under Chapter IV relevant to the risk that materialised.

(4) Where both a developer and a deployer are liable in respect of the same harm, they shall be liable jointly and severally to the person harmed; and as between themselves, liability shall be apportioned by the adjudicating authority according to their respective degrees of responsibility, the deployer's recourse against the developer being preserved by section 38.

(5) In respect of systems that are not high-risk, the deployer shall be liable on proof of negligence, the standard of care being that of a reasonable and prudent deployer of such technology.

(6) The insurance or financial security maintained under section 41 shall answer the liability under this section, including any residual liability remaining after apportionment under sub-section (4).

Explanation.— The defence in sub-section (2) is deliberately narrow: it rewards demonstrable, documented and timely compliance, and is unavailable to the careless, the non-compliant and the operator of a prohibited practice. The burden of establishing it lies wholly on the deployer.

Illustrations

(a) A hospital deploys a registered diagnostic system which, by reason of a training defect, fails to flag a malignancy. The hospital had conducted no bias audit and no validation. The defence in sub-section (2) is unavailable [clause (a) and sub-section (3)(b)]; the hospital is liable, with recourse over against the developer under section 38.

(b) A fleet operator deploys an autonomous vehicle in full compliance with Chapter IV; a hazard arises that no contemporary perception system could have resolved, and the operator recalls the fleet within hours. The operator may establish the sub-section (2) defence; the insurer under section 41 nonetheless answers the

victim, and contribution is settled against the manufacturer under section 38.

(c) A municipal body deploys a prohibited social-scoring system. Liability is absolute under sub-section (3)(a); no defence, mitigation or ceiling applies.

38. Liability of developers.

(1) A developer shall be liable, jointly and severally with the deployer, for harm caused by a defect in an AI system, including a defect in design, training data, testing, guardrails or instructions for use, in accordance with the principles of Chapter VI of the Consumer Protection Act, 2019, which shall apply to AI systems as they apply to products.

(2) It shall be a defence for the developer to prove—

- (a) that the harm arose from use contrary to express, prominent and reasonable instructions or restrictions accompanying the system;
- (b) that the system was substantially modified by another after it left the developer's control, and the harm is attributable to that modification; or
- (c) in respect of a claim founded on negligence alone, that the defect was not discoverable by the state of scientific and technical knowledge at the time of release, and that the developer maintained post-release monitoring and acted promptly on discovery.

(3) A developer who releases the weights of a model freely and publicly for general purposes shall not, by that release alone, be liable for harm caused by a substantial downstream modification by another; but this sub-section does not protect a developer who knowingly markets, optimises or fine-tunes a system for an unlawful purpose.

39. Presumption of causation.

Where a claimant establishes (a) that he has suffered significant harm, (b) that the harm is of a kind which the AI system in question is plausibly

capable of causing, and (c) that the defendant failed to comply with a duty under Chapter IV relevant to the risk that materialised, the causal link between the system and the harm shall be presumed, and the burden of disproving it shall lie upon the defendant.

Explanation.— The presumption answers the asymmetry of information between the operator of an opaque system and the person harmed by it. It is rebuttable; it is not a presumption of liability but of causation alone.

Illustrations

(a) B, a borrower, proves that she was refused credit, that the bank's system determines such refusals, and that the bank failed to conduct the bias audit required by section 18(2) read with section 9(2). The Court shall presume that the refusal was caused by the unaudited system, and the bank must displace the presumption.

40. Measure of compensation.

(1) Compensation shall be such as will, so far as money can, restore the claimant to the position he would have occupied had the harm not occurred, and may include compensation for death, injury, mental suffering, loss of opportunity, loss of reputation and consequential loss.

(2) The adjudicating authority may award exemplary compensation where the defendant's conduct discloses wilful disregard of this Act, concealment of incidents, or profit derived from the contravention, and the quantum may have regard to the worldwide turnover of the enterprise.

41. Compulsory insurance or financial security.

(1) No person shall deploy a high-risk AI system unless he maintains insurance, or furnishes such other financial security as may be prescribed, sufficient to satisfy claims under this Chapter to the prescribed minimum.

(2) A claimant may proceed directly against the insurer, which shall not be entitled to defences available against the insured, in the manner of section 149 of the Motor Vehicles Act, 1988.

(3) The requirement under sub-section (1) shall come into force on such date, not earlier than two years from the commencement of this Act, as the Central Government may appoint, and may be brought into force in phases for different classes of high-risk systems, so as to allow the development of an insurance market.

(4) Where, for any class of high-risk system, insurance is not reasonably available in the market, the deployer may discharge the requirement of sub-section (1) by furnishing a bank guarantee, a deposit, or a contribution to the Fund established under section 41A, in such form and amount as may be prescribed.

41A. Artificial Intelligence Relief Fund.

(1) The Central Government shall establish a fund called the Artificial Intelligence Relief Fund, to which deployers shall contribute as prescribed, and which shall be applied to satisfy claims under this Chapter where the liable person is unidentified, is unable to satisfy the claim, or is not adequately insured.

(2) The Fund shall be administered in the manner prescribed, and a payment from the Fund shall not discharge the liable person, against whom the Fund shall be subrogated to the rights of the claimant.

Explanation.— Sub-sections 41(3) and (4) and section 41A adopt the device of the Public Liability Insurance Act, 1991, and the Environment Relief Fund thereunder, so that the absence of a mature insurance market does not become a barrier to deployment, nor leave a victim without recourse.

42. Representative claims.

Where significant harm is caused by the same AI system, act or omission to numerous persons, a claim on behalf of all such persons may be instituted before the Tribunal with its leave, on the opt-out principle, in

addition to remedies under the Consumer Protection Act, 2019 and Order I Rule 8 of the Code of Civil Procedure, 1908.

43. Contracting out void.

(1) Any term of a contract which excludes, limits or makes conditional any right or remedy of a consumer, worker, data principal or other natural person under this Act shall be void.

(2) Nothing in sub-section (1) prevents the allocation of liability inter se between commercial parties of equal bargaining standing; but no contract shall indemnify any person against punishment for an offence.

44. Limitation.

A claim under this Chapter may be instituted within three years of the date on which the claimant knew, or with reasonable diligence ought to have known, of the harm and of its connection with an AI system; and no claim shall be instituted after ten years from the act or omission, save in the case of harm to a child, in which case time shall not run until majority.

CHAPTER IX — ADJUDICATION, PENALTIES AND APPEALS

45. Adjudicating officers; separation of functions.

(1) For the determination of civil penalties and of compensation claims not exceeding the prescribed pecuniary limit, there shall be adjudicating officers, being persons qualified in both law and technology, appointed in such manner as may be prescribed through a process that secures their independence from the investigative wing of the Authority.

(2) The Authority shall maintain a functional and administrative separation between— (a) its investigative and prosecutorial wing, which inquires into contraventions, issues notices and presents the case; and (b) the adjudicatory wing comprising the adjudicating officers, who shall not have participated in the investigation of the

matter before them and shall not be subject to the direction or control of the investigative wing in the discharge of their adjudicatory functions.

(3) No person who has taken part in the investigation of a contravention shall sit in adjudication upon it.

(4) Every order of an adjudicating officer and of the Authority under this Act shall be in writing, shall record reasons, and shall be communicated to the parties.

(5) A person aggrieved by an order of an adjudicating officer may, before preferring an appeal to the Appellate Tribunal under section 47, apply for review to a senior adjudicating officer designated for the purpose, who shall not be the officer who passed the order; and such internal review shall be completed within thirty days.

Explanation.— Nothing in this section derogates from the right of appeal under section 47; the internal review under sub-section (5) is an additional and not an alternative remedy, and the period spent in review shall be excluded in computing the period of limitation for appeal.

46. Civil penalties.

(1) Whoever contravenes any provision of this Act for which no separate penalty is provided shall be liable to a civil penalty determined by the adjudicating officer, which may extend—

- (a) for engaging in a prohibited practice, or for the contravention of section 9, 10 or 41, to two hundred and fifty crore rupees or four per cent of the worldwide turnover of the preceding financial year, whichever is higher;
- (b) for the contravention of sections 7, 8, 11, 12, 13 or 18(2), to fifty crore rupees or two per cent of such turnover, whichever is higher; and
- (c) in any other case, to ten crore rupees.

(2) In determining the penalty, regard shall be had to the gravity and duration of the contravention, the harm caused, the gain derived, prior conduct, and the promptness and candour of disclosure and remediation.

46A. Artificial Intelligence Appellate Tribunal.

(1) The Central Government shall, by notification, establish an Appellate Tribunal to be called the Artificial Intelligence Appellate Tribunal to hear appeals against the orders of the Authority and of adjudicating officers under this Act.

(2) The Appellate Tribunal shall consist of a Chairperson and such number of Judicial and Technical Members as the Central Government may, in consultation with the Chairperson, determine; and the number of Judicial Members shall not be less than the number of Technical Members.

(3) A person shall not be qualified for appointment as— (a) Chairperson, unless he is, or has been, a Judge of the Supreme Court or the Chief Justice of a High Court; (b) a Judicial Member, unless he is, or has been, a Judge of a High Court, or has been an advocate for not less than ten years, or has held judicial office for not less than ten years; and (c) a Technical Member, unless he is a person of proven ability and standing of not less than fifteen years in the field of artificial intelligence, computer science, data science or a cognate discipline.

(4) The Chairperson and every Member shall be appointed by the Central Government on the recommendation of a Search-cum-Selection Committee consisting of— (a) the Chief Justice of India or a Judge of the Supreme Court nominated by him, as Chairperson of the Committee, who shall have a casting vote; (b) a Judge of the Supreme Court or a Chief Justice of a High Court nominated by the Chief Justice of India; (c) the Secretary to the Government of India in the Ministry administering this Act; and (d) the Secretary to the Government of India in the Department of Legal Affairs, of whom the members specified in clauses (a) and (b) shall be judicial members; and the Committee shall recommend a single name for each vacancy.

(5) The Chairperson and every Member shall hold office for a term of five years from the date on which he enters upon his office, and shall be eligible for reappointment: Provided that no Chairperson shall hold office after attaining the age of seventy years, and no Member after attaining the age of sixty-seven years.

(6) There shall be no minimum age prescribed as a condition of eligibility for appointment as a Member.

(7) The salaries, allowances and other conditions of service of the Chairperson and Members shall be such as to secure their independence, and shall not be varied to their disadvantage after appointment.

(8) Until a National Tribunals Commission or equivalent body is functional, the administration, infrastructure and staffing of the Appellate Tribunal shall be provided in a manner that does not subject its members to executive control inconsistent with judicial independence.

47. Appeals to the Tribunal.

Any person aggrieved by an order of the Authority or of an adjudicating officer may prefer an appeal to the Tribunal within sixty days, and the Tribunal shall endeavour to dispose of the appeal within six months.

48. Appeal to the Supreme Court.

An appeal shall lie from any order of the Tribunal to the Supreme Court on a substantial question of law, within ninety days.

49. Bar of jurisdiction.

No civil court shall have jurisdiction to entertain any suit or proceeding in respect of any matter which the Authority, an adjudicating officer or the Tribunal is empowered by this Act to determine; but nothing in this section affects the jurisdiction of any High Court under Articles 226 and 227, or of the Supreme Court, or any remedy preserved by section 53 of this Act or available under the Consumer Protection Act, 2019.

50. Compounding.

Any contravention punishable with civil penalty alone, and any offence punishable with fine alone, may, before or after the institution of proceedings, be compounded by the Authority on such terms as it considers fit; no contravention shall be compounded a second time within three years.

CHAPTER X — EVIDENCE

51. Authentication of AI-generated material.

(1) In the Bharatiya Sakshya Adhiniyam, 2023, after section 63, the following section shall stand inserted, namely:—

“**63A.** Where any document or electronic record produced before a Court was generated, enhanced, restored, translated, transcribed or otherwise materially processed by an artificial intelligence system, the party producing it shall disclose that fact, and shall furnish a certificate identifying the system used, the nature of the processing, and the steps taken to verify fidelity to the original or to fact; and the Court may, of its own motion or on objection, require examination by an Examiner referred to in section 53 of the Artificial Intelligence (Regulation of Use and Prevention of Misuse) Act, 2026.”

(2) Non-disclosure under sub-section (1) shall go to the weight, and may, in the discretion of the Court, go to the admissibility, of the material.

52. Presumptions as to synthetic content.

(1) Where the authenticity of any audio-visual material is in issue and the material bears no provenance mark conforming to the standards specified under section 8(2), the Court may presume that the material is not authentic, where the party producing it had the means to apply or preserve such mark.

(2) Where material bears an unbroken provenance chain so conforming, the Court shall presume, until the contrary is proved, the integrity of the material from the point of capture.

53. Examiners of AI evidence.

The Central Government may notify agencies as Examiners of AI Evidence, in the manner of section 79A of the Information Technology Act, 2000, for expert opinion on the authenticity, provenance and processing of synthetic or AI-processed material; and the opinion of such Examiner shall be relevant under section 39 of the Bharatiya Sakshya Adhiniyam, 2023.

CHAPTER XI — MISCELLANEOUS

54. Exemptions.

(1) Nothing in Chapter IV applies to an AI system developed and used solely for scientific research and not deployed upon the public; but Chapters III, VII and VIII apply to every person at all times.

(2) The Central Government may, by notified order stating reasons, exempt a specified deployment by the State from specified provisions of Chapter IV in the interest of the sovereignty and integrity of India, the security of the State or public order; every such order shall be proportionate to the necessity, shall stand reviewed every six months by a committee chaired by a person who has been a Judge of the Supreme Court, and shall not extend to any prohibited practice or to any provision of Chapters VII and VIII.

55. Relationship with other laws.

(1) The provisions of this Act are in addition to, and not in derogation of, the Information Technology Act, 2000, the Digital Personal Data Protection Act, 2023, the Bharatiya Nyaya Sanhita, 2023, the Consumer Protection Act, 2019, and any other law for the time being in force.

(2) In the event of inconsistency between this Act and any earlier law in its application to artificial intelligence, the provisions of this Act,

being the special and later enactment, shall prevail to the extent of the inconsistency.

(3) Nothing in this Act shall be construed to affect the legislative competence of a State with respect to public order or the police (Entries 1 and 2 of List II), or the constitution, organisation or administration of any police force; and the application of this Act to an artificial intelligence system deployed by or for a State agency operates upon the system and upon the persons responsible for it, and not upon the constitution of any State service.

56. Power to make rules and regulations.

(1) The Central Government may, by notification, make rules to carry out the purposes of this Act; and the Authority may, with the previous approval of the Central Government, make regulations consistent with this Act and the rules.

(2) Every rule and regulation shall be laid, as soon as may be after it is made, before each House of Parliament.

57. Protection of action taken in good faith.

No suit, prosecution or other legal proceeding shall lie against the Central Government, the Authority, or any officer thereof, for anything which is in good faith done or intended to be done under this Act.

58. Power to remove difficulties.

If any difficulty arises in giving effect to the provisions of this Act, the Central Government may, by order published in the Official Gazette, make provisions not inconsistent with this Act for removing the difficulty; but no such order shall be made after the expiry of three years from the commencement of this Act, and every such order shall be laid before each House of Parliament.

59. Annual report.

The Authority shall prepare an annual report of its activities, of the state of AI adoption and incidents in India, and of recommendations for

legislative change, which the Central Government shall cause to be laid before each House of Parliament.

60. Periodic review.

The Central Government shall, within three years of the commencement of this Act and every three years thereafter, constitute a committee, including persons from the judiciary, the Bar, technology, industry and civil society, to review the working of this Act, and shall lay the report of the committee, with the action taken thereon, before each House of Parliament.

SCHEDULE I

(See section 6)

PROHIBITED PRACTICES

1. Subliminal, manipulative or deceptive techniques causing or likely to cause significant harm.
2. Exploitation of the vulnerabilities of vulnerable persons.
3. Social scoring producing unjustified or disproportionate detrimental treatment.
4. Individual predictive policing based on profiling or personality characteristics.
5. Untargeted scraping of facial images to create or expand recognition databases.
6. Emotion inference in workplaces and educational institutions, save for medical or safety purposes.
7. Real-time remote biometric identification in publicly accessible spaces, save under judicial authorisation as provided in section 6(1)(g).
8. Autonomous selection and engagement of human targets by any weapon or instrument of force.
9. The creation or dissemination of synthetic sexual material relating to children, in any circumstance whatsoever.

SCHEDULE II

(See sections 2(h) and 3)

HIGH-RISK ARTIFICIAL INTELLIGENCE SYSTEMS

1. Biometric identification and categorisation of natural persons, where not prohibited.
2. Safety components of critical infrastructure, including power, water, transport and communications.

3. Determination of access to, or evaluation in, education and vocational training.
4. Recruitment, evaluation, promotion, task-allocation, monitoring and termination of workers.
5. Evaluation of creditworthiness, insurance underwriting and claim settlement; determination of access to essential private services.
6. Determination of eligibility for public benefits, subsidies and services.
7. Systems used by or for law-enforcement agencies, where not prohibited, including evidence-evaluation and forensic tools.
8. Systems used in migration, asylum and border management.
9. Systems intended to assist judicial or quasi-judicial authorities, subject to the regulations referred to in section 15(1).
10. Medical devices and clinical decision systems for diagnosis, prognosis, triage or treatment.
11. Autonomous vehicles, vessels and aircraft, and their driving or piloting systems.
12. Systems determining the dissemination, ranking or targeting of political advertising.

SCHEDULE III

(Table of principal offences and penalties — illustrative summary; the sections govern)

Section	Offence contravention	Punishment penalty	Classification
25(1)/(2)	Impersonation by synthetic content / aggravated	Up to 3 yrs or fine to ₹10 lakh / up to 7 yrs and fine	Bailable / cognizable (aggravated)

Section	Offence / contravention	Punishment / penalty	Classification
26(1)/(2)	Non-consensual intimate synthetic imagery / publication, extortion	1–5 yrs and fine / 3–7 yrs and fine	Cognizable; (2) non-bailable
27	Synthetic material relating to children	As under POCSO, 2012; not less	Cognizable; non-bailable; Special Court
28(1)/(2)	AI-enabled cheating / impersonation of authority, organised scheme	Up to 7 yrs and fine / 3–10 yrs and fine	Cognizable; (2) non-bailable
29	Tampering with safety mechanisms	Up to 5 yrs or fine to ₹25 lakh or both	Cognizable; bailable
30(1)	Prohibited practice	Up to 3 yrs or fine to ₹50 lakh or both; civil penalty besides	Complaint by Authority
30(2)	Fabricated material before Court	Up to 2 yrs/fine (knowing); fine to ₹1 lakh (unverified)	Non-cognizable; bailable
31	Unlabelled synthetic content with intent to deceive	Up to 1 yr or fine to ₹5 lakh or both	Non-cognizable; bailable

Section	Offence / contravention	Punishment / penalty	Classification
46(1)(a)	Prohibited practice; data-governance, oversight, insurance defaults	Civil penalty to ₹250 crore or 4% worldwide turnover	Adjudicating officer
46(1)(b)	Registration, transparency, incident, grievance, audit defaults	Civil penalty to ₹50 crore or 2% turnover	Adjudicating officer

ANNEXURE

AUTHOR'S STRESS-TEST NOTES — APPLYING THE CODE TO HARD CASES

In preparing this draft I tested it against fourteen hard cases, chosen to traverse every chapter of the Code. For each, I have set out the facts, identified every provision engaged, recorded the analysis, and closed with a gap check — the question whether any wrongdoer escapes, any victim goes without remedy, or any innocent actor is unjustly caught. Where an earlier version of the draft leaked, I have recorded the amendment that sealed it. These notes are illustrative reasoning offered to assist scrutiny; they are not part of the enacting text.

DRILL 1 — DEEPPAKE OF A CHIEF MINISTER ON THE EVE OF POLL

Facts. Forty hours before polling, a synthetic video showing a Chief Ministerial candidate accepting a bribe is released anonymously and shared two million times. The candidate did no such thing.

Provisions engaged. Sections 14(1), 14(2), 14(4), 25(1)–(2), 31, 8(2); section 123 and section 126, Representation of the People Act, 1951; sections 175, 353 and 356, BNS, 2023; section 36(2) (intermediary takedown).

Analysis. Publication during the election period without disclosure contravenes section 14(1); the false depiction with intent to affect the result is the graver offence under section 14(2) read with section 25(2). If traced to a rival candidate or his agent or done with his consent, section 14(4) converts the act into a corrupt practice, imperilling the election itself in an election petition. The Election Commission or a Court orders takedown; an intermediary failing to disable within twenty-four hours loses safe harbour under section 14(3).

Result. Creator: up to seven years (s. 25(2)) plus electoral consequences. Platform: loses exemption on default, exposing it to liability for continued hosting. Candidate-victim: civil compensation under Chapter VIII against

identifiable wrongdoers; expedited takedown irrespective of identification.

Gap check. The anonymous-creator problem is the real leak in every such case. The Act answers with what it can control: provenance marking (s. 8(2)) makes unmarked material presumptively inauthentic in court (s. 52(1)), and the takedown duty operates against the platform without needing the creator. Attribution remains an investigative, not a legislative, problem. No further drafting seal is available without breaking anonymity generally, which the Committee declines to do.

DRILL 2 — VOICE-CLONE “DIGITAL ARREST” OF A SENIOR CITIZEN

Facts. An organised ring, using cloned voices and synthetic video of persons in police uniform, convinces a retired schoolteacher that she is under “digital arrest” and extracts ₹48 lakh over six days.

Provisions engaged. Section 28(2) (3–10 years, non-bailable); section 25(2); sections 111 (organised crime), 318(4), 319, BNS; section 66D, IT Act; Chapter VIII against any deployer whose infrastructure was knowingly supplied.

Analysis. Impersonation of police converts the offence to the aggravated form. Each member of the ring is liable as principal or abettor (s. 34). Money-trail recovery proceeds under ordinary criminal law; this Act adds the AI-specific aggravation and the non-bailable classification that existing law lacks for this modus.

Result. Conviction under section 28(2) with minimum three years; attachment and restitution under general law; compensation to the victim under section 40 where any registered or commercial actor in the chain is reached.

Gap check. First-iteration leak: the trial version of section 28 required completed delivery of property. Attempted digital arrest where the victim's bank stalls the transfer would have fallen outside it. Sealed by section 34 (attempt punishable up to one-half), tracking the BNS structure. No residual gap found.

DRILL 3 — ADVOCATE FILES FABRICATED CITATIONS

Facts. A junior advocate, pressed for time, files written submissions in a High Court citing three judgments generated by a chatbot. None exists. The error is discovered by the opposing counsel.

Provisions engaged. Sections 15(2), 15(3), 30(2)(b); contempt jurisdiction; Bar Council reference; the Supreme Court's Regulations for AI in Courts, 2026 (disclosure framework), preserved by section 15(1).

Analysis. The duty under section 15(2) is a duty to verify, not merely a duty not to lie. Absent intent, the advocate falls under section 30(2)(b) — fine to ₹1 lakh — not the imprisonment clause; this calibration deliberately avoids criminalising negligence as fraud while still creating real deterrence. The mandatory Bar Council reference (s. 15(3)) addresses the professional dimension; contempt remains available for the contumacious case.

Result. Fine; costs; Bar Council proceedings; no imprisonment absent knowledge or intent. Where a senior had the submissions filed through the junior knowingly, the senior is the principal under section 30(2)(a) read with section 34.

Gap check. The Committee tested whether section 30(2)(b) over-catches the honest advocate misled by a fabricated headnote in a commercial database. It does not: the duty is one of reasonable verification, and reliance on a recognised law report after checking the citation against it discharges the duty. The section punishes non-verification, not the failure of verification diligently performed.

DRILL 4 — BANK CREDIT MODEL REDLINES A COMMUNITY

Facts. Data analysis shows that a private bank's AI credit model rejects applicants from certain localities and surnames at four times the base rate, with no difference in repayment metrics. No bias audit was ever conducted.

Provisions engaged. Sections 5(1)–(2), 17(1), 9(2), 18 analogy, 13, 37(1), 39, 42, 46(1)(a)–(b); coordination with RBI under section 17(2).

Analysis. Disparate impact establishes prima facie contravention under section 5(2); the bank must justify the disparity by legitimate, necessary and proportionate criteria — surname and locality proxies for caste or religion cannot meet that standard. The absent audit breaches section 9(2); the presumption of causation under section 39 then carries each individual claimant past the black-box defence, which section 13(3) independently turns against the bank.

Result. Regulatory: civil penalty up to ₹250 crore or 4% of worldwide turnover (s. 46(1)(a), discrimination flowing from a section 5 contravention). Private: representative claim under section 42 for all rejected applicants; compensation for lost opportunity under section 40.

Gap check. Tested objection: Article 15 binds the State, not private banks — does the Act overreach? No: section 5 is a statutory, not constitutional, prohibition; Parliament routinely imposes non-discrimination duties on private actors (RPwD Act, 2016; Equal Remuneration Act, 1976 lineage). The horizontal application is deliberate and within competence. No gap.

DRILL 5 — DIAGNOSTIC AI MISSES A CARCINOMA

Facts. A hospital's registered diagnostic system fails, by reason of a training defect, to flag a malignancy visible on a scan. The radiologist, habituated to the system, countersigns without independent review. The patient dies of the delay.

Provisions engaged. Sections 16, 37(1), 38(1), 38(2), 39, 40, 41(2), 10(2); section 106 BNS against the radiologist on ordinary principles; Consumer Protection Act, 2019 concurrently (s. 55(1)).

Analysis. The hospital is strictly liable as deployer (s. 37(1)) — no proof of negligence required; its cross-claim lies against the developer for the training defect (s. 38(1)). The radiologist's rubber-stamping engages section 10(2): the oversight was formal, not substantive, so the hospital cannot plead human review in mitigation. The dependants may proceed directly against the insurer (s. 41(2)).

Result. Full compensation to dependants from hospital and developer jointly and severally, recoverable directly from the insurer; civil penalty for the oversight failure; criminal negligence of the clinician assessed

separately under the BNS on ordinary medical-negligence standards (Jacob Mathew principles undisturbed).

Gap check. Tested objection: will strict liability deter hospitals from adopting beneficial AI? The Committee's answer is the insurance architecture of section 41 — liability is priced, not avoided, exactly as motor-vehicle liability is. The alternative — making the patient prove negligence inside a black box — was rejected as the worse distortion. No gap.

DRILL 6 — NON-CONSENSUAL INTIMATE DEEPPAKE OF A WOMAN

Facts. A rejected suitor creates intimate synthetic imagery of a woman and circulates it in her town, then demands money to stop.

Provisions engaged. Sections 26(1), 26(2) (3–7 years, non-bailable), 26(3) (identity protection, immediate takedown); sections 77, 79, 308, BNS; section 67, IT Act; Chapter VIII compensation.

Analysis. The explanation to section 26 forecloses the defence that no authentic image existed. The extortion demand lifts the offence into subsection (2). Section 26(3) makes identity protection and takedown duties of the Court, not favours — addressing the secondary victimisation that current practice inflicts.

Result. Minimum three years; immediate platform takedown; compensation including for mental suffering and reputation under section 40(1).

Gap check. First-iteration leak: solicitation — commissioning a third party abroad to create the imagery — was arguably outside “creates or transmits.” Sealed by adding “solicits the creation of” to section 26(1). The cross-border creator is reached by section 1(4) (effect within India); enforcement against him depends on MLAT machinery, which no statute can conjure, but the domestic soliciter is fully caught.

DRILL 7 — AUTONOMOUS AGENT DEFAMES A COMPETITOR

Facts. A company deploys an autonomous marketing agent with the goal “maximise engagement.” The agent, unprompted, fabricates and posts claims that a competitor's product caused injuries.

Provisions engaged. Sections 4(2), 37(3) or 37(1) (if within Schedule II), 31; civil defamation; section 356 BNS where intent or knowledge of an officer is shown.

Analysis. Section 4(2) is the hinge: the publication is attributed to the deployer; “the machine did it” is not a plea known to this Act. The deployer's liability in civil defamation follows ordinary principles with attribution supplied by statute. Criminal defamation requires a human mental element and lies only against officers shown to have intended or known — the Act declines to create criminal liability without mens rea (s. 36(1)).

Result. Civil damages to the competitor; takedown; penalty for unlabelled synthetic content if the posts purported to be authentic user reviews (s. 31, s. 8(2)).

Gap check. Tested objection: does attribution without fault over-deter agentic deployment? The calibration is deliberate: civil attribution is strict, criminal liability still demands a guilty human mind. The Committee records that goal-maximising agents deployed without output review are precisely the externality the Act exists to price. No gap.

DRILL 8 — CV-SCREENING SYSTEM REJECTS DISABLED CANDIDATES

Facts. An IT employer's recruitment AI, trained on past hires, systematically scores down candidates whose résumés disclose disability, gaps for medical treatment, or assistive-technology skills.

Provisions engaged. Sections 18(1)–(3), 5, 9(2), 10, 13, 39, 42, 46; sections 3 and 20, Rights of Persons with Disabilities Act, 2016, preserved by section 55(1).

Analysis. Recruitment AI is per se high-risk (Schedule II, item 4). The annual bias audit (s. 18(2)) would have surfaced the pattern; its absence both attracts penalty and triggers the section 39 presumption for every rejected candidate. Section 18(3) independently bars rejection by algorithmic decision alone.

Result. Penalty under section 46(1)(b) for the audit default and 46(1)(a) for the section 5 contravention; representative claim by the affected class under section 42; compensation for lost opportunity; prospective compliance directions under section 21(1)(d).

Gap check. Tested objection: the employer says the model never “saw” disability, only proxies. Section 5(2) answers: effect, not intent or input, is the test. Proxy discrimination is discrimination. No gap.

DRILL 9 — PREDICTIVE POLICING SOFTWARE SCORES INDIVIDUALS

Facts. A State police unit procures software assigning named residents of certain bastis a “future-offending likelihood,” derived from caste, family criminal history and locality, and uses it for preventive surveillance and detention recommendations.

Provisions engaged. Sections 6(1)(d), 6(2), 30(1), 37(2) (absolute liability of the State as deployer), 54(2) (exemption unavailable for prohibited practices); Articles 14, 21; Puttaswamy, (2017) 10 SCC 1.

Analysis. The practice is prohibited absolutely; section 6(2) bars relaxation by any authority, and section 54(2) expressly withholds the national-security exemption from prohibited practices. Procurement itself contravenes section 30(1). The State's liability in compensation is absolute under section 37(2) on the M.C. Mehta standard — the constitutional-tort jurisprudence (Nilabati Behera, (1993) 2 SCC 746) is thereby codified for algorithmic state action.

Result. Suspension and recall of the system (s. 21(1)(d)); prosecution of responsible officers on the Authority's complaint (s. 35(3)); compensation to surveilled and detained persons; derived watch-lists destroyed under Authority direction.

Gap check. Tested question: is evidence derived from the prohibited system inadmissible in a criminal trial? Indian law does not exclude illegally obtained evidence per se (Pooran Mal, (1974) 1 SCC 345); the Act does not attempt a general exclusionary rule, but section 52 and the trial court's discretion as to weight remain. The Committee flags this as a policy choice for Parliament, recorded openly rather than papered over.

DRILL 10 — OPEN-SOURCE MODEL FINE-TUNED FOR FRAUD

Facts. A research lab releases model weights publicly under an open licence. A criminal downloads, fine-tunes the model for voice-cloning fraud, and runs the scheme of Drill 2.

Provisions engaged. Sections 38(3), 28, 54(1); section 36(1) (mens rea).

Analysis. The lab is shielded by section 38(3): free public release for general purposes, harm flowing from substantial downstream modification by another. The shield collapses only on proof that the lab knowingly marketed or optimised for the unlawful purpose. The criminal is fully liable under section 28; the fine-tuning itself makes him a “developer” under section 2(e) (“fine-tunes or substantially modifies”), attracting developer liability besides.

Result. Criminal: the fraudster, under sections 28 and 34. Civil: the fraudster as both developer and deployer. The lab: no liability on these facts.

Gap check. Tested boundary: a lab that publishes weights with a removable safety layer, knowing of a thriving misuse ecosystem, and advertises “uncensored” capability — does it keep the shield? No: “knowingly markets... for an unlawful purpose” in section 38(3) is drafted precisely to strip it. The line is knowledge plus promotion, not open release simpliciter. The Committee records that chilling open research would be a self-inflicted strategic wound; the section therefore protects release, not predation.

DRILL 11 — AI-ENHANCED CCTV FOOTAGE IN A MURDER TRIAL

Facts. The prosecution tenders CCTV footage “enhanced” by an AI upscaler to show the accused’s face. The defence alleges the enhancement painted in features that were never captured.

Provisions engaged. Sections 51 (new s. 63A, BSA), 52, 53; section 63 BSA certificate for the underlying electronic record.

Analysis. Generative upscaling is interpolation — the model adds information not present in the source. Section 63A compels disclosure of the processing and the verification steps; the Court directs examination by a notified Examiner (s. 53). Unmarked, undisclosed enhancement invites the adverse presumption of section 52(1) and discretionary exclusion under section 51(2).

Result. The enhanced frames are admitted, if at all, with the original footage, the processing disclosed, and expert evidence on what the model can and cannot have recovered; conviction cannot safely rest on machine-interpolated features alone, and the judgment must engage with the Examiner’s opinion.

Gap check. *This drill exposed the gravest evidentiary danger of the era — conviction on fabricated pixels. The triple lock (disclosure, examination, presumption) is the seal. Residual risk lies in judicial training, which section 23’s public registry and the Supreme Court’s Regulations address institutionally; statute can compel disclosure but not comprehension.*

DRILL 12 — FOREIGN PROVIDER, NO INDIAN PRESENCE

Facts. A chatbot operated from abroad, with no Indian office, causes mass financial harm to Indian users through systematically deceptive outputs. It ignores Indian process.

Provisions engaged. Sections 1(4), 7(3), 21(1)(d), 46; section 69A, IT Act (blocking, through MeitY coordination under s. 24); Chapter VIII against the resident representative and Indian revenue.

Analysis. Extra-territorial application attaches by effect within India (s. 1(4)). The structural answer is section 7(3): no Indian market access for high-risk systems without a resident representative answerable under the Act — the enforcement handle the IT Act never built. For the defiant provider, the remedy is exclusion: blocking direction, payment-rail and app-store directions under section 21(1)(d), and penalty recoverable from Indian assets and receivables.

Result. Market exclusion plus penalty; civil claims proceed against the representative and attachable Indian revenue streams.

Gap check. The Committee records candidly: against a provider with no representative, no Indian assets and no wish to comply, the Act's writ runs only to the border — as does every nation's. The seal is prophylactic (representative before access), not curative. This is the honest limit of municipal legislation; the residue belongs to treaty.

DRILL 13 — AUTONOMOUS VEHICLE FATALITY

Facts. A level-4 autonomous vehicle, operated by a fleet company, misclassifies a handcart at dusk and kills its puller.

Provisions engaged. Schedule II, item 11; sections 37(1), 38(1)–(2), 39, 40, 41(2), 44; Motor Vehicles Act, 1988 (ss. 140-series successors, 166) preserved by section 55(1); section 106 BNS only on proof of human rashness or negligence.

Analysis. The fleet operator is strictly liable as deployer; the manufacturer jointly for the perception defect. The claimant's family proceeds directly against the insurer. The MV Act's no-fault and third-party regimes operate concurrently; section 55(2) resolves any inconsistency in favour of this Act as the special, later law for the algorithmic component. Criminal liability is not strict: absent a rash human act (deploying with known defective perception in monsoon dusk could be one), no one is imprisoned for a machine's error — the Act refuses scapegoat criminality.

Result. Compensation on the M.C. Mehta-informed measure, capacity-linked; insurer pays first; contribution fixed between operator and manufacturer under section 38; recall of the perception stack under section 21(1)(d) if the defect is systemic.

Gap check. Tested objection: dual regimes (MV Act and this Act) may invite forum shopping. Section 49 channels Act claims to adjudicating officers and the Tribunal while expressly preserving MV Act remedies; double recovery is barred by ordinary restitution principles. The Committee accepts a margin of overlap as the price of leaving the MV Act ecosystem undisturbed.

DRILL 14 — ENGAGEMENT-MAXIMISING COMPANION CHATBOT AND A CHILD

Facts. A “AI companion” application, optimised for session length, cultivates emotional dependence in a fourteen-year-old, discourages her from confiding in her parents, and her mental health deteriorates seriously.

Provisions engaged. Sections 19(1), 6(1)(b) (exploitation of a vulnerable person causing significant harm), 6(2), 30(1), 37(2) (absolute liability), 8(1)(a), 12; section 9, DPDPA (children's data), preserved by section 55(1).

Analysis. Optimising engagement against a child's developmental vulnerability, with significant harm resulting, is squarely the prohibited practice of section 6(1)(b) — the Committee drafted the clause with this very business model in view. “Significant harm” includes mental injury by definition (s. 2(m)). Liability is absolute (s. 37(2)); consent of the child or even the parent cures nothing (s. 6(2): no consent, waiver or contract). The design duty of section 19(1) supplies the regulatory standard against which the product is judged.

Result. Suspension of the product for users under eighteen; prosecution under section 30(1) on the Authority's complaint; absolute-liability compensation to the child through her guardian; penalty at the section 46(1)(a) scale.

Gap check. Tested boundary: the section must not catch every engaging educational app. The trigger is the conjunction — exploitation of vulnerability and significant harm caused or likely. An app that teaches arithmetic engagingly exploits nothing; an app engineered to displace a child's human attachments monetises vulnerability. The illustration to section 6 and the definition of “vulnerable person” hold the line. The Committee closes by recording that no statute parents a child; the Act removes the predatory design, and the rest belongs to homes and schools.

AUTHOR'S CLOSING NOTE

In each case I asked the three questions that test any penal and remedial statute: Does the wrongdoer escape? Does the victim go unremedied? Is the innocent actor caught? Where an early version leaked — attempt in Note 2, solicitation in Note 6, the uncensored-release boundary in Note 10 — I amended the text and recorded the amendment. Two limits I acknowledge rather than conceal: anonymous attribution (Note 1) and the truly extraterritorial defendant (Note 12) yield to no domestic drafting. Within the reach of Indian law, I believe the Code to be as watertight as principle, illustration and candour can make it; section 60 ensures that Parliament must return to inspect the hull every three years.

— *Eshan Kumar Gupta*

INVITATION FOR COMMENTS AND

SUGGESTIONS

This Draft Artificial Intelligence (Regulation of Use and Prevention of Misuse) Act, 2026 is respectfully presented as an independent legislative proposal for consideration and discussion.

Constructive comments and suggestions are invited from Government Ministries and Departments, constitutional authorities, regulatory bodies, members of the judiciary, legal practitioners, academic institutions, industry stakeholders, researchers and all interested persons.

Every suggestion will be carefully considered for incorporation in future revisions of the Draft Code, with the objective of developing a balanced, practical and constitutionally consistent legislative framework governing Artificial Intelligence in India.

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Mr. Eshan Kumar Gupta is an Advocate practising before the Hon'ble High Court of Judicature at Allahabad, Lucknow Bench, and the Learned District and Sessions Courts at Lucknow. His areas of practice include constitutional law, criminal law, civil litigation, commercial disputes, family litigation and regulatory law.

The author is the Proprietor of the **Chambers of Praveen Kumar Gupta**, a litigation practice established in 1991. His professional work involves regular engagement with constitutional adjudication, statutory interpretation and the practical operation of the Indian legal system.

This publication reflects the author's independent legislative research into the constitutional, regulatory and legal implications of Artificial Intelligence. The Draft Artificial Intelligence (Regulation of Use and Prevention of Misuse) Act, 2026 has been prepared as an original legislative proposal with the objective of contributing to the ongoing discourse on the development of a comprehensive legal framework governing Artificial Intelligence in India.

The views expressed in this publication are solely those of the author and are intended to facilitate informed discussion, constructive consultation and continued legislative development.

ACKNOWLEDGEMENT OF FUTURE REVISIONS

This publication represents the First Edition of the proposed Draft Artificial Intelligence (Regulation of Use and Prevention of Misuse) Act, 2026. Artificial Intelligence is an evolving field of technology and law. Accordingly, future editions may incorporate legislative developments, judicial pronouncements, technological advancements and constructive comments received from stakeholders.

The author remains committed to the continued refinement of the Draft Code in furtherance of a comprehensive and constitutionally consistent legal framework governing Artificial Intelligence in India.

THE ARTIFICIAL INTELLIGENCE CODE

First Edition — 2026

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